

3

Accrual Accounting



SPOTLIGHT

Richemont

www.richemont.com



You may not have heard of Richemont, but its products and brands are among the most recognized in the world. From jewelry (Cartier), to watches (Montblanc, Jaeger-LeCoultre, Piaget, Baume & Mercier), to Alfred Dunhill, Shanghai Tang, Chloé, and net-a-porter.com (the world's premier online luxury fashion retailer), these are all products and brands of Richemont. Founded in 1988, Richemont is a spin-off of the Rembrandt Group, South Africa, and it is the second largest luxury goods company in the world. Richemont is listed on the SIX (Swiss) and JSE (South African) stock exchanges. ●

Peter Horree/Alamy Stock Photo



At the beginning of the 2016 fiscal year, Richemont started with cash (and cash equivalents) of €5,654 million. During the fiscal year, Richemont made a net profit of €2,227 million from sales of €11,076 million. However, it ended the fiscal year with less cash and cash equivalents at €4,569 million. How is this possible?

Cash and profits are not the same thing. You may have used part of your profits to pay for new assets; you may have collected cash in advance from your customers; you may have expenses that you have not paid or prepaid some expenses ahead of utilizing them.

We use accrual accounting in financial reporting because it is a better measure of performance than cash payments and receipts. Let's find out more about accrual accounting!

A1			
	A	B	C
1	Compagnie Financière Richemont	Financial Year Ended	
	Consolidated Income Statement	March 31	
2	(Adapted, in millions of €)	March 31, 2016	March 31, 2015
3	Sales	€ 11,076	€ 10,410
4	Cost of sales	(3,958)	(3,534)
5	Gross profit	7,118	6,876
6	Selling and distribution expenses	(2,950)	(2,554)
7	Communication expenses	(1,093)	(1,010)
8	Administrative expenses	(992)	(874)
9	Other operating income/(expense)	(22)	232
10	Operating profit	2,061	2,670
11	Finance costs	(166)	(972)
12	Finance income	168	19
13	Other income/(expenses)	534	(14)
14	Income taxes	(370)	(369)
15	Profit for the year	€ 2,227	€ 1,334
16			

A1			
	A	B	C
1	Compagnie Financière Richemont	At March 31	
2	Consolidated Statement of Financial Position		
3	(Adapted, in millions of €)	March 31, 2016	March 31, 2015
4	Cash and cash equivalents	€ 4,569	€ 5,654
5	Inventories	5,345	5,438
6	Trade and other receivables	1,021	1,071
7	Prepayments	135	140
8	All other current assets	3,288	3,625
9	Total current assets	14,358	15,928
10	Property, plant and equipment	2,476	2,446
11	Intangible assets	712	781
12	Investment property	191	70
13	All other non-current assets	2,388	1,225
14	Total non-current assets	5,767	4,522
15	Total assets	€ 20,125	€ 20,450
16	Trade and other payables	1,526	1,514
17	Provisions	211	277
18	Loans and borrowings	2,098	2,688
19	All other current liabilities	361	609
20	Total current liabilities	4,196	5,088
21	Loans and borrowings	379	405
22	All other non-current liabilities	503	537
23	Total non-current liabilities	882	942
24	Total liabilities	5,078	6,030
25	Share capital	334	334
26	Retained earnings	12,111	10,854
27	Other equity items	2,602	3,232
28	Total equity	15,047	14,420
29	Total liabilities and equity	€ 20,125	€ 20,450

A1			
	A	B	C
1	Compagnie Financière Richemont	Financial Year Ended	
2	Consolidated Statement of Cash Flows	March 31	
3	(Adapted, in millions of €)	Dec. 31, 2016	Dec. 31, 2015
4	Net cash from operating activities	€ 1,964	€ 1,704
5	Net cash used in investing activities	(1,287)	(343)
6	Net cash used in financing activities	(1,201)	(642)
7	Net cash flows	(524)	719
8	Effect of exchange rates	(80)	219
9	Beginning cash and cash equivalents	3,152	2,214
10	Ending cash and cash equivalents	€ 2,548	€ 3,152

This chapter will complete our coverage of the accounting cycle. It will provide the basics of what you need before tackling individual topics such as receivables, inventory, PPEs, and liabilities.

LEARNING OBJECTIVES

- | | |
|---|---|
| 1 Explain how accrual accounting differs from cash-basis accounting
2 Apply the revenue and expense recognition principles
3 Adjust the accounts | 4 Prepare updated financial statements
5 Close the books |
|---|---|

EXPLAIN HOW ACCRUAL ACCOUNTING DIFFERS FROM CASH-BASIS ACCOUNTING

- 1 Explain** how accrual accounting differs from cash-basis accounting

Shareholders want to earn a profit. Investors search for companies whose share prices will increase. Banks seek borrowers who will pay their debts. Accounting provides the information these people or institutions use for decision making. Accounting can be based on one of the following:

- Accrual basis
- Cash basis

Accrual accounting records the impact of business transactions and events on an entity's assets and liabilities over the period in which they occur, even if the resulting cash receipts or payments occur in a past or future period. For example, when a business performs a service, makes a sale, or incurs an expense, the accountant records the transaction even if it receives or pays no cash at the time of the transaction.

Cash-basis accounting records only cash transactions—cash receipts and cash payments. Cash receipts are treated as revenues, and cash payments are handled as expenses. Profits are earned when cash receipts are greater than cash payments, and similarly, losses are incurred when cash receipts are less than cash payments.

To illustrate the difference between the two bases of accounting, consider the following example. Richemont sells inventory produced at the cost of €500 to a customer for €800 on account. The customer promises to pay in 60 days' time. Accrual accounting would recognize the €800 as income because making the sale increases Richemont's wealth and Richemont now has the right to some future economic benefits (in the form of receivables, an asset). The eventual payment is merely an exchange of one asset (receivable) for another (cash) and has no impact on Richemont's income. Cash accounting, on the other hand, will not record a sale as there was no exchange of cash at the time of the sale. Only when cash is received (60 days later) will cash basis accounting record the transaction.

Cash accounting fails to capture the underlying economic phenomenon. First, the €800 receivable represents a claim to receive cash in the future, which is an asset, and it should appear on the Balance Sheet. Without it, assets are understated. Second, the increase in assets also results in an increase in equity and should be recognized as income. Without it, income is understated.

Suppose Richemont paid a portion of the office rent prior to the actual occupation. Cash may have been paid, but has Richemont actually incurred the expense? Obviously not. If you look at Richemont's Balance Sheet at the start of this chapter, you will see on line 6, prepayments totaling €135 million. These are monies paid to various parties that continue to represent future economic benefits to Richemont, and are thus accounted for as an asset. As the prepayments are consumed, Richemont will recognize a reduction of assets and an increase in expense. Cash accounting would have treated all payments as expenses, i.e., understating assets and overstating expenses.

On the other hand, Richemont may have consumed economic benefits without paying for them. It will "accrue" (more on this later) these obligations as liabilities. Richemont also collected money in advance of selling its merchandise.

The take-away lessons from this discussion are as follows:

- Virtually all businesses use the accrual basis of accounting as required by financial reporting standards.

- Entities that use the cash basis of accounting do not follow accounting standards. Their financial statements omit important information and thus are less relevant to users of financial statements.

We are not saying that cash flows are not important, they are! However, in measuring financial performance and financial position, accrual accounting gives us a better understanding of how businesses actually perform during a financial period. We will look at cash flows in more detail later (in Chapter 11).

Accrual Accounting and Cash Flows

Accrual accounting is a more faithful representation of economic reality than cash-basis accounting. To be sure, accrual accounting records cash transactions, such as the following:

- Collecting cash from customers
- Receiving cash from interest earned
- Paying salaries, rent, and other expenses
- Borrowing money
- Paying off loans
- Issuing shares

But accrual accounting also records *noncash* transactions, such as the following:

- Sales on account
- Purchases of inventory on account
- Accrual of expenses incurred but not yet paid
- Depreciation expense
- Usage of prepaid rent, insurance, and supplies
- Earning of revenue when cash was collected in advance

Remember that the *Conceptual Framework* tells us that profit is determined by income and expense. Excluding transactions with owners (such as additional capital contributions or dividend payments), income is further defined as increases in equity in the form of inflows, enhancements of assets, or decreases in liabilities, and expense is defined as a decrease in equity in the form of outflows, depletion of assets, or incurrence of liabilities.

CASH
FLOW

To use accrual accounting, we need to understand a few more concepts. We turn now to the time-period concept, the revenue recognition principle, and the expense recognition principle.

The Time-Period Concept

The only way for a business to know for certain how well it has performed is to shut down, sell the assets, pay the liabilities, and return any leftover cash to the owners. This process, called liquidation, means going out of business. Ongoing companies cannot close down operations just to measure income! Instead, they need regular progress reports. Accountants, therefore, prepare financial statements for specific periods. The **time-period concept** ensures that accounting information is reported at regular intervals.

IAS 1 – Presentation of Financial Statements requires an entity to present a complete set of financial statements (including comparative information, as appropriate) at least annually. This is why you have been looking at extracts of *annual* reports of companies at the start of every chapter.

Companies also prepare financial statements for interim periods of less than a year, such as a month, a quarter (three months), or a half-yearly period (six months). Usually, this is a requirement of the stock exchange where the company is listed. In general, as a company gets larger, it may be subjected to more frequent reporting requirements. Most of the discussions in this text are based on an annual accounting period.

APPLY THE REVENUE AND EXPENSE RECOGNITION PRINCIPLES

2 Apply the revenue and expense recognition principles

The Revenue Recognition Principle

When should you recognize, i.e., record, revenue? In short, when you “earn” revenue. It sounds simple, but revenue recognition can be a very contentious topic. Think about the things you buy (music DVDs, electronic gadgets, and clothes), the services you consume (a magazine, a World of Warcraft or Netflix subscription, and your tuition fees), and ask yourself when do the companies that provide you with these goods and/or services actually earn your money?

The basic guidance for the **revenue recognition principle** comes from *IAS 18 – Revenue*. In general, for the sale of goods, revenue is recognized when:

- the entity has transferred to the buyer the significant risks and rewards of ownership of the goods;
- the entity retains neither continuing managerial involvement to the degree usually associated with ownership nor effective control over the goods sold;
- the amount of revenue can be measured reliably;
- it is probable that the economic benefits associated with the transaction will flow to the entity; and
- the costs incurred or to be incurred in respect of the transaction can be measured reliably.

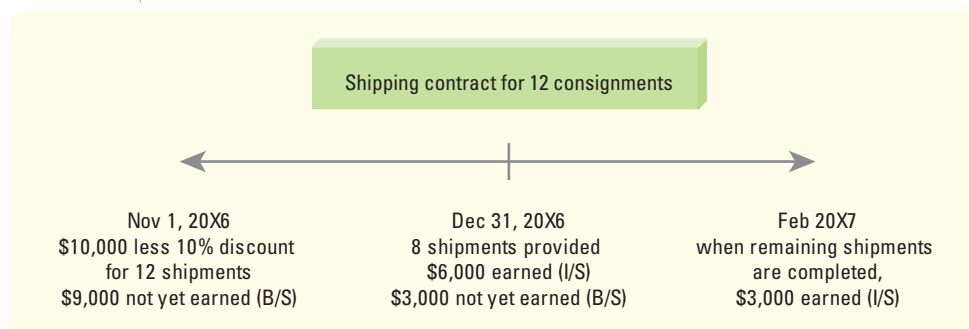
Thus, for consumer sales transactions, it is usually at the point of sale when you hand over your hard-earned cash in return for the goods you wish to purchase. Think about how such over-the-counter purchases would meet the *IAS 18* criteria above.

For services, similar principles apply. The only difference is that the services you engage may not be consumed at the same time. Revenue is, thus, earned by reference to a “stage of completion” of the transaction at the Balance Sheet date. For example, suppose you engaged Maersk, the world’s biggest container-ship operator, to make 12 shipments of your goods and you paid the entire shipping fee, in advance, on November 1, 20X6. Should Maersk recognize the entire revenue for the 12 shipments when you sign the contract? No, it shouldn’t. Maersk only earns the relevant shipping revenue when services are provided. Suppose by the end of the financial year on December 31, 20X6, Maersk shipped a total of eight consignments. Maersk’s obligation has been partially satisfied. It now only owes you four more shipments. This reduction in liability increases equity. Maersk will report the remaining four shipments as its obligations on its Balance Sheet and the revenue for the eight shipments in its Income Statement. Stage of completion can also be estimated using time period, milestones (such as engineering estimates), or percentage of cost incurred in relation to total costs.

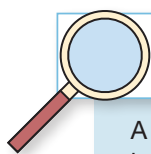
The *amount* of revenue to record is the fair value of the consideration received or receivable taking into account the amount of any trade discounts and volume rebates allowed by the entity. If the shipment fees for your 12 shipments totaled \$10,000 and you were given a discount of 10%, Maersk should recognize a total of \$6,000 at year ended December 31, 20X6, and a further \$3,000 when the remaining shipments have been performed, say in February 20X7.

This revenue recognition example is depicted in Exhibit 3-1.

Exhibit 3-1 | When to Record Revenue



So, to conclude, when should you record revenue? After it has been earned—and not before. Revenue is earned when there is an increase in asset or reduction in liability that results in an increase in equity (excluding transactions with owners). In most cases, revenue is earned when a business delivers goods or services to its customer.



A Closer Look

A new accounting standard, *IFRS 15—Revenue from Contract from Customers*, will be effective for financial statements beginning January 1, 2018 (actual dates may vary in different jurisdictions). This is a major standard, jointly developed by the International Accounting Standards Board (IASB) and the Financial Accounting Standards Board (FASB). This new standard provides a single, joint revenue standard to be applied across all industries and capital markets.

The new standard is based on the core principle of “revenue is recognized to depict transfer of goods or services,” which could be satisfied over time or at a point in time. The new standard proposes five steps of revenue recognition:

Step 1—Identify the contract with the customers

Step 2—Identify the performance obligations in the contract

Step 3—Determine the transaction price

Step 4—Allocate the transaction price

Step 5—Recognize revenue when (or as) a performance obligation is satisfied

While this standard will impact revenue recognition on some more complicated revenue transactions (such as multi-elements contracts), our discussions in this chapter will still be relevant under the new standards.

Every reporting entity must disclose its revenue recognition policy. You would find this in the notes to the accounts that accompany the financial statements. Here is Richemont’s revenue recognition policy.

ADAPTED EXCERPTS FROM RICHEMONT’S NOTES TO THE FINANCIAL STATEMENTS

2.19. Revenue Recognition

(a) Goods

Sales revenue is measured at the fair value of the consideration received from the sale of goods, net of value-added tax, duties, other sales taxes, rebates and trade discounts, and after eliminating sales within the Group. Revenue is recognized when significant risks and rewards of ownership of the goods are transferred to the buyer. Where there is a practice of agreeing to customer returns, accumulated experience is used to estimate and provide for such returns at the time of sale.

(b) Interest income

Interest income is recognized on a time-proportion basis using the effective interest method.

(c) Royalty income

Royalty income is recognized on the accruals basis in accordance with the substance of the relevant agreements.

(d) Dividend income

Dividend income is recognized when the right to receive payment is established.

The Expense Recognition Principle

The **expense recognition principle** is the basis for recording expenses. Expenses are the costs of assets used up or liabilities incurred in earning income. Expenses have no future benefit to the business. Once you have identified and measured all the expenses, we match the expenses incurred to the associated revenue earned during the same period in order to obtain profit or loss.

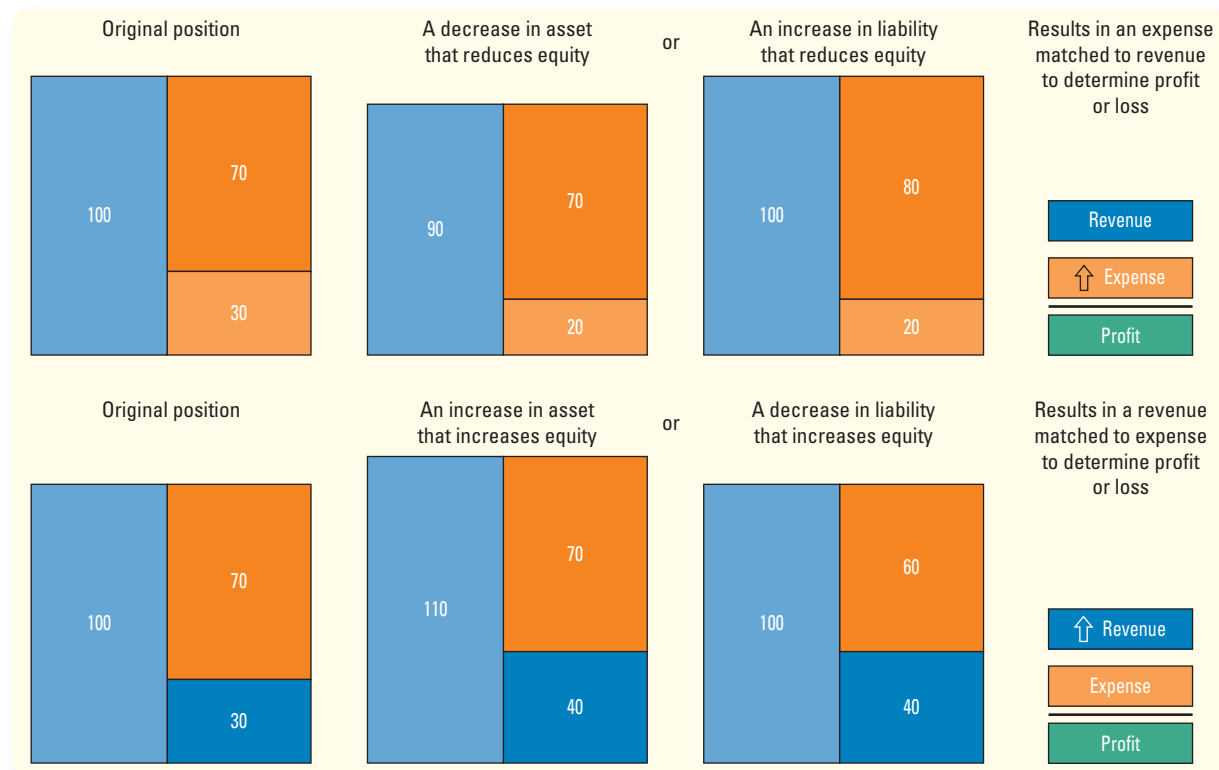
The Matching Concept

The **matching concept** is used to explain the relationship between expenses and revenues. The *Conceptual Framework* states that expenses are recognized in the Income Statement on the basis of a direct association between the costs incurred and the earning of specific items of income. This process is commonly referred to as the “matching of costs with revenues.” Unlike assets, expenses offer no future benefits to the company. Matching includes two steps:

1. Identify decreases in assets or increases in liabilities that result in a reduction in equity (excluding transactions with owners) during the period. These are expenses.
2. Measure these expenses, and subtract expenses from revenues to compute profit or loss.

Remember that the change in assets and liabilities determines profit or loss, not the application of a matching concept. You should not let the matching concept result in assets and liabilities (on the statement of financial position) that do not meet the definition of assets and liabilities as stated in the *Conceptual Framework*. Exhibit 3-2 illustrates the matching concept.

Exhibit 3-2 | The Matching Concept



» Stop & Think

- (1) A customer pays Maersk \$1,000 on March 15 for a shipment in April. Has Maersk earned revenue on March 15? When will Maersk earn the revenue?
- (2) Maersk pays \$4,500 on July 1 for office rent for the next three months. Has Maersk incurred an expense on July 1?

Answers:

- (1) No. Maersk has received the cash but will not perform the shipping services until later. Maersk earns the revenue when it has completed the service for the customer.
- (2) No. Maersk has paid cash for rent in advance. There is no expense. This prepaid rent is an asset because Maersk has some future economic benefits (i.e., the use of an office space).

Some expenses are paid in cash. Other expenses arise from using up an asset such as supplies. When expenses are incurred but not yet paid, a company has a liability. For example, Richemont incurs salary expense when employees work for the company. Richemont may pay the salary expense immediately, or it may record a liability for the salary to be paid later. In either case, Richemont incurs salary expense. The critical event for recording an expense is the record of employees working for the company, not the payment of cash. We will discuss other issues related to expense capitalization later (in Chapter 7 on PPE and Intangibles).

Ethics in Business and Accounting Decisions

Accrual accounting provides some ethical challenges that cash accounting avoids. For example, suppose that on January 15, 20X6, Richemont pays €3 million for an advertising campaign to be conducted by an advertising agency. The advertisements are scheduled to run during February to April of 20X6. At the time of payment, Richemont is buying an asset, a prepaid expense. Under accrual accounting, Richemont should record two-thirds of the expense (€2 million) during its fiscal year ended March 31, 20X6, and one-third (€1 million) for April 20X6, which is part of fiscal year 20X7.

Now, let's say fiscal year 20X6 is a great year for Richemont—net income is better than expected. Richemont's top managers believe that fiscal year 20X7 will not be as profitable. In this case, the company may be motivated to expense the full €3 million during fiscal year 20X6 in order to report all the advertising expense in the 20X6 Income Statement. This questionable action would keep €1 million of advertising expense off the 20X7 Income Statement and make 20X7's net income look €1 million better.



Deloitte Forensic Center

The Deloitte Forensic Center¹ published a report on financial statement fraud schemes alleged by the United States' Securities and Exchange Commission (SEC) in enforcement releases issued from 2000 to 2008. Revenue recognition was the most susceptible area of fraud, accounting for almost 40% of the financial statement frauds alleged during the period. The two most common alleged methods of cheating on revenue recognition identified in the SEC enforcement releases were recording fictitious revenue and recognition of revenue when products or services are not yet delivered or are delivered without customer acceptance, or when delivery is incomplete.

¹ The Deloitte Forensic Center is a think tank aimed at exploring new approaches for mitigating the costs, risks, and effects of fraud, corruption, and other issues facing the global business community. The Center aims to advance the state of thinking in areas such as fraud and corruption by exploring issues from the perspective of forensic accountants, corporate leaders, and other professionals involved in forensic matters. The Deloitte Forensic Center is sponsored by Deloitte Financial Advisory Services LLP. For more information, visit www.deloitte.com/forensiccenter.



A1			
	A	B	C
1	Proportion of financial statement fraud schemes represented by each alleged fraud scheme in SEC enforcement releases from 2000–2008	Percentage	
2	Revenue Recognition	38	
3	Manipulation of Expense	12	
4	Improper Disclosures	12	
5	Manipulation of Liabilities	8	
6	Manipulation of Assets	7	
7	Manipulation of Reserves	7	
8	Bribery & Kickbacks	4	
9	Asset Misappropriation	3	
10	Manipulation of A/R	3	
11	Investments	2	
12	Aiding and Abetting	2	
13	Goodwill	2	
14	Total	100	
15			

Source: Adapted from *Ten Things about Financial Statement Fraud*—3rd Edition, A review of SEC enforcement releases, 2000–2008. Deloitte Forensic Center, 2009.

Mid-Chapter

Summary Problem

Requirements

Think about the following independent revenue scenarios, identify the key revenue issue, and propose the appropriate revenue recognition policy. Support your arguments with revenue recognition policies used by similar businesses.

1. Stamps sold by a post office
2. Concert tickets sold by a ticketing agency
3. Course fees paid to universities
4. Gift vouchers sold by a retailer
5. Computer games with options for Internet gaming

Answers

Requirement 1

The key revenue issue is whether or not stamps sold are recognized as revenue upon sale or upon usage by customers. When stamps are sold, there is a performance obligation (liability) and this obligation is only satisfied when the stamps are actually used by customers. The post office will probably rely on some estimates of unused stamps and defer the revenue until such time as they have been used or deemed earned. Examples of revenue recognition policies are as follows:



ADAPTED EXCERPTS FROM UPS'S NOTES TO THE FINANCIAL STATEMENTS

Revenue Recognition

Revenue is recognized upon delivery of a letter or package.

Source: UPS Incorporated, *Annual Report 2016*, page 66

ADAPTED EXCERPTS FROM SINGPOST'S NOTES TO THE FINANCIAL STATEMENTS

Revenue recognition for sales of goods and services—Mail and Logistics related
Accrual for unearned revenue is made for stamps that have been sold, but for those for which services have not been rendered as at the Balance Sheet date. This accrual is classified as advanced billings under trade and other payables.

Source: Singapore Post Limited, *Annual Report 2016*, pages 99–100



ADAPTED EXCERPTS FROM HONG KONG POST'S NOTES TO THE FINANCIAL STATEMENTS

Revenue Recognition

Revenue for postal services is recognized as the services are provided. Allowance for a measured share of stamp income for the amount of revenue from postage stamps sold in respect of which postal services has not yet been provided is made at the end of the reporting period.

Source: Hong Kong Post, *Annual Report 2016*, page 71



Requirement 2

The key revenue issues are the amount and the timing of revenue. Some concert tickets may be sold on an “agency” basis, which means the revenue to be recognized should only be the booking fee/commission amount. For example, you paid Ticketmaster \$105 for a Lady Gaga concert ticket, where \$5 was the booking fee on top of the \$100 concert ticket. Ticketmaster will recognize ticket processing fee revenue of \$5 at the time of sale. On the other hand, if Ticketmaster’s parent company, Live Nation Entertainment, was responsible for staging the concert, Ticketmaster wouldn’t recognize the \$5 processing fee immediately but would have to defer it until the concert takes place, which is the same time as when Live Nation Entertainment also would recognize the \$100 from the concert ticket revenue. Live Nation Entertainment is the parent company of Ticketmaster and its revenue recognition policy states the following:

ADAPTED EXCERPTS FROM LIVE NATION ENTERTAINMENT INC.’S NOTES TO THE FINANCIAL STATEMENTS

Revenue Recognition

Revenue from our ticketing operations primarily consists of convenience and order processing fees charged at the time a ticket for an event is sold and is recorded on a net basis (net of the face value of the ticket). For tickets sold for events at our owned or operated venues in the United States, and where we control the tickets internationally, revenue is recognized after the performance occurs. Revenue for these ticket service charges collected in advance of the event is recorded as deferred revenue until the event occurs, and these service charges will be shared between our Ticketing segment and our Concerts segment.

Source: Live Nation Entertainment Inc., *Annual Report 2016*, page 52





ADAPTED EXCERPTS FROM NINE ENTERTAINMENT CO.'S NOTES TO THE FINANCIAL STATEMENTS

Revenue

Revenue from ticketing operations primarily consists of booking and service/delivery fees charged at the time a ticket for an event is sold and is recorded on a net basis (net of the face value of the ticket). This revenue is recognized at the time of sale.

Revenue from the promotion and production of an event is recognized in the month the performance occurs.

Source: Nine Entertainment Co., Annual Report 2014, page 67

Requirement 3

The key revenue issue is timing of the revenue recognition. The consideration paid is usually fixed and easily determinable. For example, is the tuition earned at the start of the semester/term and earned progressively, or earned in its entirety at the start of each term? What happens when the school term does not coincide with the financial period? For example, the University of Cambridge has this revenue recognition policy:



ADAPTED EXCERPTS FROM UNIVERSITY OF CAMBRIDGE'S NOTES TO THE FINANCIAL STATEMENTS

Recognition of Income: Academic Fees

Tuition fees for degree courses are charged to students by academic term. Income is recognized for academic terms falling within the period. For short courses, fees are charged in advance for the entire course and income is recognized to the extent that the course duration falls within the period.

Source: University of Cambridge, Annual Report 2015, page 50



ADAPTED EXCERPTS FROM NATIONAL UNIVERSITY OF SINGAPORE'S NOTES TO THE FINANCIAL STATEMENTS

Revenue Recognition

Tuition and other related fees for the academic year and all other income (including course and conference fees, and clinical and consultancy fees) are recognized in the period in which the services are rendered.

Source: National University of Singapore, Annual Report 2016, page 23

Requirement 4

The key revenue question is timing of the revenue recognition. Is revenue earned when the gift voucher is sold or used? Gift vouchers are similar in principle to prepayments made by customers, i.e., a liability for the business. Thus, a business should not recognize gift vouchers as revenue upon the sale of gift vouchers. For example, Amazon.com provides the following information about its gift vouchers.

ADAPTED EXCERPTS FROM AMAZON INC.'S NOTES TO THE FINANCIAL STATEMENTS

Revenue Recognition

As of December 31, 2015 and 2014, our liabilities for unredeemed gift cards was \$2.0 billion and \$1.7 billion. We reduce the liability for a gift card when redeemed by a customer. If a gift certificate is not redeemed, we recognize revenue when it expires or when the likelihood of its redemption becomes remote, generally two years from the date of issuance.

Source: Amazon.com, Annual Reports 2015, page 49



Requirement 5

The key revenue issues are amount and timing of revenue. Whilst the sale price may be easily determined, a computer game that offers an Internet gaming option may mean that the game developer will continue to have an obligation to ensure that the Internet platform is available to customers, long after the sale. It may be difficult to “cost” the obligation to do so. For example, Vivendi (parent company of Activision Blizzard, the maker of *World of Warcraft* games) states:

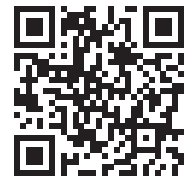
ADAPTED EXCERPTS FROM ACTIVISION BLIZZARD INC.'S NOTES TO THE FINANCIAL STATEMENTS

Subscription Revenues

Subscription revenues are mostly derived from *World of Warcraft*. *World of Warcraft* is a game that is playable through Blizzard's servers and is generally sold on a subscription-only basis.

For *World of Warcraft*, after the first month of free usage that is included with the boxed software, the *World of Warcraft* end user may enter into a subscription agreement for additional future access. Revenues associated with the sales of subscriptions via boxed software and prepaid subscription cards, as well as prepaid subscriptions sales, are deferred until the subscription service is activated by the consumer and are then recognized ratably over the subscription period.

Source: Activision Blizzard Inc., Annual Report 2016, page 49



ADJUST THE ACCOUNTS

At the end of the period, a reporting entity presents its financial statements to its users. This process begins with the trial balance introduced earlier (in Chapter 2). We refer to this trial balance as unadjusted because the accounts are not yet ready for the financial statements. We shall continue with our RedLotus Travel, Inc., example in the following discussions.

3 Adjust the accounts

Which Accounts Need to Be Updated (Adjusted)?

The shareholders and management need to know how well RedLotus Travel, Inc., is performing. The financial statements report this information, and all accounts must be up-to-date. That means we need to make sure all necessary adjustments and updates are reflected in the accounts before the financial statements are prepared.

Exhibit 3-3 gives the unadjusted trial balance of RedLotus Travel, Inc., at June 30, 20X8. It reflects the same accounts as those in Chapter 2 (Exhibit 2-12), except for two additional months of transaction activities (i.e., May and June). However, the trial balance remains unadjusted. Let's see what we need to do to prepare the accounts before financial statements can be produced.

Exhibit 3-3 Unadjusted Trial Balance

A1					
	A	B	C	D	E
	RedLotus Travel, Inc.				
	Unadjusted Trial Balance				
	June 30, 2018	Debit	Credit		
1					
2	Cash	\$ 34,800			
3	Accounts receivable	2,200			
4	Supplies	700			
5	Prepaid rent	3,000			
6	Land	20,000			
7	Equipment	24,000			
8	Accounts payable		\$ 13,100		
9	Unearned service revenue		400		
10	Share capital		50,000		
11	Retained earnings		18,800		
12	Dividends	3,200			
13	Service revenue		7,000		
14	Salary expense	900			
15	Utilities expense	500			
16	Total	\$ 89,300	\$ 89,300		
17					

Cash, Equipment, Accounts Payable, Share Capital, and Dividends are up-to-date and need no adjustment at the end of the period. Why? Because the day-to-day transactions provide all the data for these accounts.

Accounts Receivable, Supplies, Prepaid Rent, and the other accounts are a different story. These accounts are not yet up-to-date on June 30. Why? Because certain transactions have not yet been recorded. Let's consider Supplies. During June, RedLotus used supplies in their operations. But RedLotus didn't make a journal entry for every supply item used each time it used them. That would be inefficient, wasting time and money. Instead, RedLotus waits until the end of the period and then records the supplies used up during the entire month.

The cost of supplies used up is an expense. An adjusting entry at the end of June updates both Supplies (an asset) and Supplies Expense. We must adjust all accounts whose balances are not yet up-to-date.

Categories of Adjusting Entries

Accounting end-of-period adjustments fall into three basic categories: deferrals, depreciation, and accruals. Deferral adjustments include deferred expenses (or prepaid expenses) and deferred income (or unearned revenue). Accrual adjustments include accrued expenses and accrual revenue. As you move forward with this textbook, you may see additional end-of-period adjustments for other items on the Balance Sheet.

Deferrals. A **deferral** is an adjustment for an item for which the business paid or received cash in advance. Richemont purchases supplies for use in its operations. During the period, some supplies (assets) are used up and become expenses. At the end of the period, an adjustment is needed to decrease the supplies account for the supplies used up and to record the supplies expense. Prepaid rent, prepaid insurance, and all other prepaid expenses require deferral adjustments.

There are also deferral adjustments for liabilities. Companies like Richemont may collect cash from its customers in advance of earning the revenue. When Richemont receives cash up front, it has an obligation (i.e., a liability) to provide goods and services for its customer. This liability is called Unearned Revenue or Deferred Income. Then, when Richemont delivers the goods to the customer, the obligation is reduced and it recognizes an increase in Sales Revenue. This earning process requires an adjustment at the end of the period. The adjustment decreases the liability and increases the revenue for the amount earned. Publishers of magazines, such as

Fortune, and your cell phone company usually collect cash in advance from their subscribers. They too must make adjusting entries for revenues earned after initial receipt of cash.

Accruals. An **accrual** is the opposite of a deferral. For an accrued *expense*, Richemont records the expense before (eventually) paying for it. For an accrued *revenue*, Richemont records the revenue before (eventually) collecting cash.

Salary Expense is an example of an accrual adjustment. As employees work for Richemont, the company's salary expense accrues with the passage of time. At the end of its fiscal year, Richemont owed employees some salaries to be paid after year-end, so Richemont recorded Salary Expense and Salary Payable for the amount owed. Other examples of expense accruals include interest expense and income tax expense.

An accrued revenue is a revenue that the business has earned and will collect next year. At year-end, Richemont must accrue such revenue. The adjustment debits a receivable and credits a revenue. For example, accrual of interest revenue debits Interest Receivable and credits Interest Revenue.

Depreciation. **Depreciation** allocates the cost of an item of Property, Plant and Equipment (PPE) to expense over the asset's useful life. Depreciation is the most common long-term deferral. Richemont buys buildings, equipment, and other fixed assets to use in its operations. As Richemont uses the assets, it allocates the cost of the PPE over its useful life. The accounting adjustment records Depreciation Expense and decreases the asset's carrying amount over its life. The process is identical to a deferral-type adjustment; the only difference is the type of asset involved. We will look at other issues related to PPE and depreciation later (in Chapter 7).

Let's see how the adjusting process actually works for RedLotus on June 30. We start with prepaid expenses.

Prepaid Expenses

A **prepaid expense (or prepayment)** is an expense paid in advance. Therefore, prepaid expenses are assets because they provide a future benefit for the owner. Let's make the adjustments for prepaid rent and supplies.

Prepaid Rent. Companies pay rent in advance. This prepayment creates an asset for the renter, who can then use the rented item in the future. Suppose RedLotus prepays three months' store rent (\$3,000) on June 1. The entry for the prepayment of three months' rent debits Prepaid Rent as follows:

A1						
	A	B	C	D	E	F
1	Jun. 1	Prepaid Rent (\$1,000 × 3)	3,000			
2		Cash		3,000		
3		<i>Paid three months' rent in advance.</i>				
4						

The accounting equation shows that one asset increases and another decreases. Total assets are unchanged. Again, we show the impact of revenue and expense transactions directly to equity.

Assets	=	Liabilities	+	Shareholders' Equity
3,000	=	0	+	0
- 3,000				

After posting, the Prepaid Rent account appears as follows:

Prepaid Rent	
Jun. 1	3,000

Throughout June, the Prepaid Rent account carries this beginning balance, as shown in Exhibit 3-3. The adjustment transfers \$1,000 from Prepaid Rent to Rent Expense as follows:²

Adjusting entry a						
A1						
	A	B	C	D	E	F
1	Jun. 30	Rent Expense ($\$3,000 \times 1/3$)	1,000			
2		Prepaid Rent		1,000		
3		<i>To record rent expense.</i>				
4						

Both assets and shareholders' equity decrease.

Assets	=	Liabilities	+	Shareholders' Equity	
- 1,000	=	0	+	- 1,000	(rent expense)

After posting, Prepaid Rent and Rent Expense appear as follows:

Prepaid Rent				Rent Expense			
Jun. 1	3,000	Jun. 30	1,000	Jun. 30	1,000		
Bal.	2,000			Bal.	1,000		

This expense illustrates the matching concept. The decrease in future economic benefits of "prepaid rent" results in an increase in expenses (and reduces equity).

Supplies. Supplies are another type of prepaid expense. On June 2, RedLotus paid cash of \$700 for cleaning supplies:

A1						
	A	B	C	D	E	F
1	Jun. 2	Supplies	700			
2		Cash		700		
3		<i>Paid cash for supplies.</i>				
4						

Assets	=	Liabilities	+	Shareholders' Equity	
+ 700	=	0	+	0	
- 700					

The cost of the supplies RedLotus used is Supplies Expense. To measure June's supplies expense, the business counts the supplies on hand at the end of the month. The count shows that \$400 of supplies remains. Subtracting the \$400 of supplies on hand from the supplies available (\$700) measures the supplies expense for the month (\$300):

Asset Available During the Period	-	Asset on Hand at the End of the Period	=	Asset Used (Expense) During the Period
\$700	-	\$400	=	\$300

² See Exhibit 3-8 for a summary of adjustments a–g.

The June 30 adjusting entry debits the expense and credits the asset, as follows:

Adjusting entry b						
A1						
	A	B	C	D	E	F
1	Jun. 30	Supplies Expense (\$700 – \$400)	300			
2		Supplies		300		
3		To record supplies expense.				
4						

Assets		=	Liabilities		+	Shareholders' Equity	
– 300		=	0		+	– 300	(supplies expense)

After posting, the Supplies and Supplies Expense accounts appear as follows. The adjustment is highlighted for emphasis.

Supplies				Supplies Expense			
Jun. 2	700	Jun. 30	300	Jun. 30	300		
Bal.	400			Bal.	300		

At the start of July, Supplies has this \$400 balance, and the adjustment process is repeated each month.

Stop & Think

At the beginning of the month, supplies were \$5,000. During the month, \$7,000 of supplies were purchased. At month's end, \$3,000 of supplies are still on hand. What is the

- adjusting entry?
- ending balance in the Supplies account?

Answer:

A1						
	A	B	C	D	E	F
1		Supplies Expense (\$5,000 + \$7,000 – \$3,000)	9,000			
2		Supplies		9,000		
3		To record supplies used.				
4						

Ending balance of supplies = \$3,000 (the supplies still on hand)

Unearned Revenues

Some businesses collect cash from customers before earning the revenue. This creates a liability or performance obligation called **unearned revenue** (also known as deferred income or revenue collected in advance). The business only earns the income when the goods are delivered or services are performed. Suppose another hotel chain engages RedLotus Travel, Inc., along with other travel agents, on a special incentive scheme where travel agents will be paid in advance

\$400 if the agents undertake to make 10 bookings within 30 days. If RedLotus collects the \$400 on 15 June, it will record this transaction as follows:

A1						
	A	B	C	D	E	F
1	Jun. 15	Cash	400			
2		Unearned Service Revenue		400		
3		<i>Received cash for revenue in advance.</i>				
4						

Assets	=	Liabilities	+	Shareholders' Equity
+ 400	=	+ 400	+	0

After posting, the liability account appears as follows:

Unearned Service Revenue	
Jun. 15	400

Unearned Service Revenue is a liability because RedLotus is obligated to perform services for the hotel chain. The unadjusted trial balance lists Unearned Service Revenue with a \$400 credit balance. Let's say RedLotus was able to make five bookings by the end of June, RedLotus would have satisfied half (i.e., 5 out of 10) of its performance obligation. On 30 June, RedLotus, Inc., makes the following adjustment:

Adjusting entry c						
A1						
	A	B	C	D	E	F
1	Jun. 30	Unearned Service Revenue ($\$400 \times 1/2$)	200			
2		Service Revenue		200		
3		<i>To record unearned service revenue that has been earned.</i>				
4						
5						

Assets	=	Liabilities	+	Shareholders' Equity
0	=	- 200	+	+ 200 (service revenue)

This adjusting entry shifts \$200 of the total amount received (\$400) from liability to revenue. After posting, Unearned Service Revenue is reduced to \$200 and Service Revenue is increased by \$200, as follows (adjustment highlighted):

Unearned Service Revenue				Service Revenue			
Jun. 30	200	Jun. 15	400			7,000	
		Bal.	200			Jun. 30	300
						Jun. 30	200
						Bal.	7,500

All revenues collected in advance are accounted for this way. An unearned revenue represents an obligation to perform and, as such, is a liability, not a revenue.

One company's prepaid expense is the other company's unearned revenue. For example, the hotel's prepaid expense is RedLotus Travel, Inc.'s liability for unearned revenue.

Accrued Expenses

Businesses incur expenses before they pay cash. Consider an employee's salary. Richemont's salary expense and payable will grow as the employee works, so the liability is said to accrue. Another example is interest expense on a note payable. Interest accrues as the clock ticks. The term **accrued expense** refers to a liability that arises from an expense that has not yet been paid.

Businesses do not record accrued expenses daily or weekly. Instead, they wait until the end of the period and use an adjusting entry to update each expense (and related liability) for the financial statements. Let's look at salary expense.

Most companies pay their employees at set times. Suppose RedLotus pays its employee a monthly salary of \$1,800, half on the 15th and half on the last day of the month. The following calendar for June has the paydays highlighted:

June						
Sun.	Mon.	Tue.	Wed.	Thur.	Fri.	Sat.
						1
2	3	4	5	6	7	8
9	10	11	12	13	14	15
16	17	18	19	20	21	22
23	24	25	26	27	28	29
30						

Assume that if a payday falls on a Sunday, RedLotus pays the employee the following Monday. During June, RedLotus paid its employees the first half-month salary of \$900 and made the following entry:

A1						
	A	B	C	D	E	F
1	Jun. 15	Salary Expense	900			
2		Cash		900		
3		To pay salary.				
4						

Shareholders' Equity			
Assets	=	Liabilities	+
- 900	=	0	+
		- 900	(salary expense)

After posting, the Salary Expense account is

Salary Expense	
Jun. 15	900

The trial balance at June 30 (Exhibit 3-3) includes Salary Expense with its debit balance of \$900. Because June 30, the second payday of the month, falls on a Sunday, the second half-month amount of \$900 will be paid on Monday, July 1. At June 30, therefore, RedLotus adjusts for additional salary expense and salary payable of \$900 as follows:

Adjusting entry d						
A1						
	A	B	C	D	E	F
1	Jun. 30	Salary Expense	900			
2		Salary Payable		900		
3		To accrue salary expense.				
4						

An accrued expense increases liabilities and decreases shareholders' equity:

Assets	=	Liabilities	+	Shareholders' Equity	
0	=	+ 900	+	− 900	(salary expense)

After posting, the Salary Payable and Salary Expense accounts appear as follows (adjustment highlighted):

Salary Payable			Salary Expense		
	Jun. 30	900	Jun. 15	900	
	Bal.	900	Jun. 30	900	
			Bal.	1,800	

The accounts now hold all of June's salary information. Salary Expense has a full month's salary, and Salary Payable shows the amount owed at June 30. All accrued expenses are recorded this way—debit the expense and credit the liability.

Computerized systems usually contain a payroll module. Accrued salaries can be automatically journalized and posted at the end of each period.

Accrued Revenues

Businesses may earn revenue before they receive the cash. A revenue that has been earned but not yet collected is called an **accrued revenue**.

Assume that on June 15, a hotel chain agrees to pay RedLotus a commission of \$30 per booking made into its hotels over the next 30 days, payable at the end of July. RedLotus books 10 clients for the hotel chain in June and earns the agreed \$300 commission for work done in June. Note that the commission is not yet paid to RedLotus at end of June. On June 30, RedLotus will make the following adjusting entry:

Adjusting entry e						
A1						
	A	B	C	D	E	F
1	Jun. 30	Accounts Receivable (\$30 × 10 bookings)	300			
2		Service Revenue		300		
3		To accrue service revenue.				
4						

Revenue increases both total assets and shareholders' equity:

Assets	=	Liabilities	+	Shareholders' Equity	
+300	=	0	+	+ 300	(service revenue)

Recall that Accounts Receivable has an unadjusted balance of \$2,200, and Service Revenue's unadjusted balance is \$7,000 (Exhibit 3-3). This June 30 adjusting entry has the following effects (adjustment highlighted):

Unearned Service Revenue				Service Revenue			
Jun. 30	200	Jun. 15	400		7,000		
		Bal.	200		Jun. 30	300	
					Jun. 30	200	
					Bal.	7,500	

All accrued revenues are accounted for similarly—debit a receivable and credit a revenue.

Stop & Think

Suppose RedLotus holds a note receivable as an investment. At the end of June, \$100 of interest revenue has been earned but not yet received. Journalize the accrued revenue adjustment at June 30.

Answer:

A1					
	A	B	C	D	E F
1	Jun. 30	Interest Receivable	100		
2		Interest Revenue		100	
3		To accrue interest revenue.			
4					

Exhibit 3-4 Prepaid and Accruals Adjustments

PREPAIDS—Cash First

	First		Later
Prepaid expenses	<i>Pay cash and record an asset:</i> Prepaid Expense XXX Cash XXX		<i>Record an expense and decrease the asset:</i> Expense XXX Prepaid Expense XXX
Unearned revenues	<i>Receive cash and record unearned revenue:</i> Cash XXX Unearned Revenue XXX		<i>Record revenue and decrease unearned revenue:</i> Unearned Revenue XXX Revenue XXX

ACCRUALS—Cash Later

	First		Later
Accrued expenses	<i>Accrue expense and a payable:</i> Expense XXX Payable XXX		<i>Pay cash and decrease the payable:</i> Payable XXX Cash XXX
Accrued revenues	<i>Accrue revenue and a receivable:</i> Receivable XXX Revenue XXX		<i>Receive cash and decrease the receivable:</i> Cash XXX Receivable XXX

The authors thank Professors Darrel Davis and Alfonso Oddo for suggesting this exhibit.

Depreciation of Property, Plant, and Equipment

Property, Plant and Equipment (PPE) are long-lived tangible assets, such as land, buildings, furniture, and equipment. Sometimes you may see them referred to as fixed assets or plant assets. All PPE (except for freehold land) has finite useful lives, and the passage of time reduces their usefulness, and this decline is an expense. Accountants allocate the cost of each PPE item over its useful life. Depreciation is the process of allocating cost to expense for PPE. Note that in some countries, land titles are not issued in perpetuity, so in such cases you may see “leasehold land” (as opposed to freehold land) that is depreciated over the period of the leasehold.

To illustrate depreciation, consider RedLotus. Suppose that on June 2, RedLotus purchased an equipment on account for \$24,000:

A1						
	A	B	C	D	E	F
1	Jun. 2	Equipment	24,000			
2		Accounts Payable		24,000		
3		Purchased equipment on account.				
4						

Assets	=	Liabilities	+	Shareholders' Equity
+24,000	=	+24,000	+	0

After posting, the Equipment account appears as follows:

Equipment	
Jun. 2	24,000

RedLotus records an asset when it purchases equipment. Then, as the asset is used, a portion of the asset's cost is transferred to Depreciation Expense. This is an example of the application of the matching concept. Computerized accounting systems program the depreciation for automatic entry of each period.

RedLotus estimates that equipment will remain useful for five years. One simple way to allocate the amount of depreciation for each year is to divide the cost of the asset (\$24,000 in our example) by its expected useful life (five years). This procedure—called the straight-line depreciation method—gives annual depreciation of \$4,800. (Chapter 7 covers PPE and depreciation in more detail.)

$$\text{Annual Depreciation} = \$24,000 / 5 \text{ years} = \$4,800 \text{ per year}$$

Depreciation for June is \$400.

$$\text{Monthly Depreciation} = \$4,800 / 12 \text{ months} = \$400 \text{ per month}$$

The Accumulated Depreciation Account. Depreciation expense for June is recorded as follows:

Adjusting entry f						
A1						
	A	B	C	D	E	F
1	Jun. 30	Depreciation Expense—Equipment	400			
2		Accumulated Depreciation—Equipment		400		
3		To record depreciation.				
4						

Total assets decrease by the amount of the expense:

Assets	=	Liabilities	+	Shareholders' Equity
- 400	=	0	+	- 400 (depreciation expense)

The Accumulated Depreciation—Equipment account (not Equipment) is credited to preserve the original cost of the asset in the Equipment account. Managers can then refer to the Equipment account if they ever need to know how much the asset cost.

The **Accumulated Depreciation** account shows the sum of all depreciation expense from using the asset. Therefore, the balance in the Accumulated Depreciation account increases over the asset's life.

Accumulated Depreciation is a contra asset account—an asset account with a normal credit balance. A **contra account** has two distinguishing characteristics:

1. It always has a companion account.
2. Its normal balance is the opposite of the companion account.

In this case, Accumulated Depreciation—Equipment is the contra account to Equipment, so it appears directly after Equipment on the Balance Sheet. A business carries an accumulated depreciation account for each class of depreciable asset, for example, Accumulated Depreciation—Building and Accumulated Depreciation—Equipment.

After posting, the PPE accounts of RedLotus are as follows—with the adjustment highlighted:

Equipment			Accumulated Depreciation—Equipment			Depreciation Expense—Equipment		
Jun. 3	24,000			Jun. 30	400	Jun. 30	400	
Bal.	24,000			Bal.	400	Bal.	400	

Carrying amount. The net amount of a PPE (cost minus accumulated depreciation) is called that asset's **carrying amount (of a PPE)**. Sometimes carrying amount is also referred to as book value, but this is less appropriate because it has nothing to do with value of the asset. Exhibit 3-5 shows how RedLotus would report the carrying amount of its equipment and building at June 30.

Exhibit 3-5 PPE on the Balance Sheet of RedLotus Travel, Inc.

A1					
A					
	B	C	D	E	
1	RedLotus Travel, Inc., PPE at June 30				
2	Equipment	\$ 24,000			
3	Less: Accumulated Depreciation	(400)	\$ 23,600		
4	Land		20,000		
5	Carrying amount of PPE		\$ 43,600		
6					

At June 30, the carrying amount of equipment is \$23,600; the carrying amount of the building is \$49,800.

Stop & Think

What will be the carrying amount of RedLotus' equipment at the end of July?

Answer:

$$\$24,000 - \$400 - \$400 = \$23,200.$$

Exhibit 3-6 shows how Richemont reports its PPE in its annual report. As you can see, Richemont reports four categories of PPE. You will find that different companies categorize their PPE differently. Lines 3 to 6 list the four asset categories and their costs, accumulated depreciation, and carrying amounts. Line 7 shows that the total cost of PPE is €4,817 million, with accumulated depreciation of €2,341 million, resulting in a carrying amount of €2,476 million. Note that assets under construction are also not depreciated until they are ready for use.

Exhibit 3-6 Richemont's PPE (Adapted)

A1				
	A	B	C	D
1	As at March 31, 2015			
2		Cost	Acc. Depn.	Carrying amount
3	Land and buildings	€ 1,299	€ (369)	€ 930
4	Plant and machinery	830	(523)	307
5	Fixtures, fittings, tools, and equipment	2,494	(1,449)	1,045
6	Assets under construction	194	–	194
7	Total PPE	€ 4,817	€ (2,341)	€ 2,476
8				

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Like individual taxpayers, corporations are subject to income tax. They typically accrue income tax expense and the related income tax payable as the final adjusting entry of the period. Obviously, taxation systems vary from country to country, and we are simplifying tax for now and assuming that income tax payable is \$600. We will treat income tax expense like an accrued expense. RedLotus, Inc., accrues income tax expense with adjusting entry g:

Adjusting entry g						
A1						
	A	B	C	D	E	F
1	Jun. 30	Income Tax Expense	600			
2		Income Tax Payable		600		
3		<i>To accrue income tax expense.</i>				
4						

The income tax accrual follows the pattern for accrued expenses.

Summary of the Adjusting Process

Two purposes of the adjusting process are: Update the Balance Sheet and Measure income; therefore, every adjusting entry affects at least one of the following: Asset or liability, to update the Balance Sheet; or Revenue or expense, to measure income.

Exhibit 3-7 summarizes the basic accounting adjustments at the end of an accounting period.

Exhibit 3-7 Summary of Adjusting Entries

Category of Adjusting Entry	Type of Account	
	Debit	Credit
Prepaid expense.....	Expense	Asset
Unearned revenue.....	Liability	Revenue
Accrued expense.....	Expense	Liability
Accrued revenue.....	Asset	Revenue
Depreciation.....	Expense	Contra asset

Source: Adapted from material provided by Beverly Terry.

Exhibit 3-8 summarizes the adjustments of RedLotus, at June 30—the adjusting entries we've examined over the past few pages. Panel A repeats the data for each adjustment; Panel B gives the adjusting entries; and Panel C shows the accounts after posting the adjusting entries. The adjustments are keyed by letter. It includes an additional adjusting entry—the accrual of income tax expense.

Exhibit 3-8 | The Adjusting Process of RedLotus, Inc.**PANEL A—Information for Adjustments**
at June 30, 2016**PANEL B—Adjusting Entries**

(a) Prepaid rent expired, \$1,000.	(a) Rent Expense 1,000 Prepaid Rent 1,000 To record rent expense.
(b) Supplies used, \$300.	(b) Supplies Expense 300 Supplies 300 To record supplies used.
(c) Amount of unearned service revenue that has been earned, \$200.	(c) Unearned Service Revenue 200 Service Revenue 200 To record unearned revenue that has been earned.
(d) Accrued salary expense, \$900.	(d) Salary Expense 900 Salary Payable 900 To accrue salary expense.
(e) Accrued service revenue, \$300.	(e) Accounts Receivable 300 Service Revenue 300 To accrue service revenue.
(f) Depreciation on equipment, \$400.	(f) Depreciation Expense—Equipment 400 Accumulated Depreciation—Equipment 400 To record depreciation.
(g) Accrued income tax expense, \$600.	(g) Income Tax Expense 600 Income Tax Payable 600 To accrue income tax expense.

PANEL C—Ledger Accounts

Assets		Liabilities		Shareholders' Equity	
Cash		Accounts Payable		Share Capital	
Bal. 34,800		Bal. 13,100		Bal. 50,000	
Accounts Receivable		Salary Payable		Retained Earnings	
2,200		(d) 900		Bal. 18,800	
(e) 300		Bal. 900			
Bal. 2,500				Dividends	
Supplies		Unearned Service Revenue		Bal. 3,200	
700	(b) 300	(c) 200	400		
Bal. 400		Bal. 200		Expenses	
Prepaid Rent		Income Tax Payable		Rent Expense	
3,000	(a) 1,000	(g) 600		(a) 1,000	
Bal. 2,000		Bal. 600		Bal. 1,000	
Equipment				Salary Expense	
Bal. 24,000				900	
Accumulated Depreciation—Equipment				(d) 900	
(h) 400				Bal. 1,800	
Bal. 400				Supplies Expense	
				(b) 300	
				Bal. 300	
				Depreciation Expense—Equipment	
				(f) 400	
				Bal. 400	
				Utilities Expense	
				Bal. 500	
				Income Tax Expense	
				(g) 600	
				Bal. 600	
				Revenue	
				Service Revenue	
				7,000	
				(e) 300	
				(c) 200	
				Bal. 7,500	

The Adjusted Trial Balance

This chapter began with the unadjusted trial balance (see Exhibit 3-3). After the adjustments are journalized and posted, the accounts appear as shown in Exhibit 3-8, Panel C. A useful step in preparing the financial statements is to list the accounts, along with their adjusted balances, on an **adjusted trial balance**. This document lists all the accounts and their final balances in a single place. Exhibit 3-9 shows the adjusted trial balance of RedLotus, Inc.

Exhibit 3-9 Adjusted Trial Balance

A1							
RedLotus Travel, Inc. Preparation of Adjusted Trial Balance June 30, 20X8							
	Trial Balance		Adjustments		Adjusted Trial Balance		
Account Title	Debit	Credit	Debit	Credit	Debit	Credit	
Cash	34,800				34,800		←
Accounts receivable	2,200		(e) 300		2,500		
Supplies	700		(a) 300		400		
Prepaid rent	3,000		(a) 1,000		2,000		
Land	20,000				20,000		
Equipment	24,000				24,000		
Accumulated depreciation—equipment			(c) 400			400	Balance Sheet (Exhibit 3-12)
Accounts payable		13,100				13,100	
Salary payable			(d) 900			900	
Unearned service revenue		400	(f) 200			200	
Income tax payable			(g) 600			600	
Share capital		50,000				50,000	← Statement of Changes in Equity (Exhibit 3-11)
Retained earnings		18,800				18,800	←
Dividends	3,200				3,200		←
Service revenue		7,000	(e) 300	(f) 200		7,500	←
Rent expense			(a) 1,000		1,000		
Salary expense	900		(c) 900		1,800		Income Statement (Exhibit 3-10)
Supplies expense			(b) 300		300		
Depreciation expense			(c) 400		400		
Utilities expense	500				500		
Income tax expense			(g) 600		600		←
	89,300	89,300	3,700	3,700	91,500	91,500	

Note how clearly the adjusted trial balance presents the data. The Account Title and the Trial Balance data come from the trial balance. The two Adjustments columns summarize the adjusting entries. The Adjusted Trial Balance columns then give the final account balances. Each adjusted amount in Exhibit 3-9 is the unadjusted balance plus or minus the adjustments. For example, Accounts Receivable starts with a balance of \$2,200. Add the \$300 debit adjustment to get Accounts Receivable's ending balance of \$2,500. Spreadsheets are very useful for this type of analysis.

PREPARE UPDATED FINANCIAL STATEMENTS

4 Prepare updated financial statements

The June financial statements of RedLotus can be prepared from the adjusted trial balance. At the far right, Exhibit 3-9 shows how the accounts are distributed to the financial statements:

- The Income Statement (Exhibit 3-10) lists the revenue and expense accounts.
- The statement of changes in equity (Exhibit 3-11) shows the changes in various components of equity during the period.
- The Balance Sheet (Exhibit 3-12) reports assets, liabilities, and shareholders' equity.

Exhibit 3-10 | Income Statement

A1	A	B	C
	RedLotus Travel, Inc.		
	Income Statement	Month Ended	
1		June 30, 20X8	
2	Revenue:		
3	Service revenue		\$ 7,500
4	Expenses:		
5	Salary expense	\$ 1,800	
6	Rent expense	1,000	
7	Utilities expense	500	
8	Depreciation expense	400	
9	Supplies expenses	300	4,000
10	Income before tax		3,500
11	Income tax expense		600
12	Net income		\$ 2,900
13			

Exhibit 3-11 | Statement of Changes in Equity

A1	A	B
	RedLotus Travel, Inc.	
	Statement of Changes in Equity	Month Ended
1		June 30, 20X8
2	Total equity, May 31, 20X8	\$68,800
3	Add: Net income	2,900
4		71,700
5	Less: Dividends	(3,200)
6	Total equity, April 30, 20X8	\$68,500
7		

Exhibit 3-12 | Balance Sheet

A1	A	B	C	D	E
	RedLotus Travel, Inc.				
	Balance Sheet	As at June 30, 20X8			
1					
2	Assets			Liabilities	
3	Cash		\$ 34,800	Accounts payable	\$ 13,100
4	Accounts receivable		2,500	Salary payable	900
5	Supplies		400	Unearned service revenue	200
6	Prepaid rent		2,000	Income tax payable	600
7	Land		20,000	Total liabilities	14,800
8	Equipment	\$ 24,000			
9	Less: Accumulated depreciation	(400)	23,600	Shareholders' Equity	
10				Share capital	\$ 50,000
11				Retained earnings	18,500
12				Total shareholders' equity	68,500
13				Total liabilities and	
14				shareholders' equity	\$ 83,300
15	Total assets		\$ 83,300		
17					

The arrows in Exhibits 3-10, 3-11, and 3-12 show the flow of data from one statement to the next. Why is the Income Statement prepared first and the Balance Sheet last?

1. The Income Statement reports net income or net loss, the result of revenues minus expenses. Revenues and expenses will affect shareholders' equity, hence net income is then transferred to retained earnings. The first arrow tracks net income.
2. The statement of changes in equity reflects the increase in retained earnings from the Income Statement and records the payment of dividends. If there was any additional capital contribution from owners, it would also be reflected in this statement. The ending balance of equity from Exhibit 3-11 is carried to the Balance Sheet in Exhibit 3-12 as shown by the second arrow.

CLOSE THE BOOKS

5 Close the books

It is now June 30, the end of the month. Starr Williams, the manager, will continue RedLotus into July, August, and beyond. But wait—the revenue and the expense accounts still hold amounts for June. At the end of each accounting period, it is necessary to close the books in order to make an accurate measurement of revenue, expenses, and dividends for the period before proceeding to the next.

Closing the books means to prepare the accounts for the next period's transactions. The **closing entries** set the revenue, expense, and dividends balances back to zero at the end of the period. The idea is the same as setting the scoreboard back to zero after a game.

Closing is easily handled by computers. Recall that the Income Statement for a particular year reports only one year's income. For example, the net income for Richemont in 2016 relates exclusively to the year ended March 31, 2016. At each year-end, Richemont's accountants close the company's revenues and expenses for that year.

Temporary Accounts. Because income and expenses relate to a limited period, they are called **temporary accounts**. The Dividends account is also temporary because it is used to record the amount of distributions to owners during the period. The closing process applies only to temporary accounts (income, expenses, and dividends).

Permanent Accounts. Let's contrast the temporary accounts with the **permanent accounts**: assets, liabilities, and shareholders' equity. The permanent accounts are not closed at the end of the period because they carry over to the next period. Consider Cash, Receivables, Equipment, Accounts Payable, Share Capital, and Retained Earnings. Their ending balances at the end of one period become the beginning balances of the next period.

Closing entries transfer the revenue, expense, and dividends balances to Retained Earnings. Here are the steps to close the books of a company such as Richemont or RedLotus, Inc.:

1. Debit each income account for the amount of its credit balance. Credit Retained Earnings for the sum of the revenues. Now the sum of the revenues is in Retained Earnings.
2. Credit each expense account for the amount of its debit balance. Debit Retained Earnings for the sum of the expenses. The sum of the expenses is now in Retained Earnings.
3. Credit the Dividends account for the amount of its debit balance. Debit Retained Earnings. This entry places the dividends amount in the debit side of Retained Earnings. Remember that dividends are not expenses. Dividends never affect net income.

After closing the books, the Retained Earnings account of RedLotus appears as follows (data from Exhibits 3-10 to 3-12):

Retained Earnings			
		Beginning balance	18,800
Expenses	4,600	Revenues	7,500
Dividends	3,200	Ending balance	18,500

Assume that RedLotus closes the books at the end of June. Exhibit 3-13 presents the complete closing process for the business. Panel A gives the closing journal entries, and Panel B shows the accounts after closing.

Exhibit 3-13 Journalizing and Posting the Closing Entries**PANEL A—Journalizing the Closing Entries**

Closing Entries				
①	Jun. 30	Service Revenue.....	7,500	
		Retained Earnings		7,500
②	Jun. 30	Retained Earnings	4,600	
		Rent Expense		1,000
		Salary Expense		1,800
		Supplies Expense		300
		Depreciation Expense.....		400
		Utilities Expense.....		500
		Income Tax Expense		600
③	Jun. 30	Retained Earnings	3,200	
		Dividends.....		3,200

PANEL B—Posting to the Accounts

Rent Expense					Service Revenue	
Adj.	1,000					7,000
Bal.	1,000	Clo.	1,000		Adj.	300
					Adj.	200
					Clo.	7,500
					Bal.	7,500
Salary Expense						
	900					
Adj.	900					
Bal.	1,800	Clo.	1,800			
Supplies Expense						
Adj.	300					
Bal.	300	Clo.	300			
Depreciation Expense						
Adj.	400					
Bal.	400	Clo.	400			
Utilities Expense						
	500					
Bal.	500	Clo.	500			
Income Tax Expense						
Adj.	600					
Bal.	600	Clo.	600			
					Dividends	
					Bal.	3,200
					Clo.	3,200

Adj. = Amount posted from an adjusting entry

Clo. = Amount posted from a closing entry

Bal. = Balance

As arrow ② in Panel B shows, we can make a compound closing entry for all the expenses.

Instead of closing the revenue and expense account directly to retained earnings, some accountants prefer to use a temporary account (usually called Income Summary). After closing all income and expense accounts to the Income Summary account, the balance of Income Summary (i.e., the profit or loss for the period) is, in turn, closed to the retained earnings account.

The trial balance of Goldsmith Company shown below pertains to December 31, 20X6, which is the end of its year-long accounting period. Data needed for the adjusting entries include the following:

- | | |
|--|--|
| a. Supplies on hand at year-end, \$2,000. | e. Accrued service revenue, \$12,000. |
| b. Depreciation on furniture and fixtures, \$20,000. | f. Of the \$45,000 balance of unearned service revenue, \$32,000 was earned during the year. |
| c. Depreciation on building, \$10,000. | g. Accrued income tax expense, \$35,000. |
| d. Salaries owed but not yet paid, \$5,000. | |

Requirements

1. Open the ledger accounts with their unadjusted balances. Show dollar amounts in thousands, as shown for Accounts Receivable:

Accounts Receivable
370

2. Journalize the Goldsmith Company adjusting entries at December 31, 20X6. Key entries by letter, as in Exhibit 3-8.
3. Post the adjusting entries.
4. Prepare an adjusted trial balance, as shown in Exhibit 3-9.
5. Prepare the Income Statement, the statement of changes in equity, and the Balance Sheet. (At this stage, it is not necessary to classify assets or liabilities as current or long term.) Draw arrows linking these three financial statements.
6. Make Goldsmith Company's closing entries at December 31, 20X6. Explain what the closing entries accomplish and why they are necessary. Show amounts in thousands.
7. Post the closing entries to Retained Earnings and compare Retained Earnings' ending balance with the amount reported on the Balance Sheet in requirement 5. The two amounts should be the same.

A1			
	A	B	C
	Goldsmith Company	December 31, 20X6	
	Trial Balance		
1			
2	Cash	\$ 198,000	
3	Accounts receivable	370,000	
4	Supplies	6,000	
5	Furniture and fixtures	100,000	
6	Accumulated depreciation—furniture and fixtures		\$ 40,000
7	Building	250,000	
8	Accumulated depreciation—building		130,000
9	Accounts payable		380,000
10	Salary payable		
11	Unearned service revenue		45,000
12	Income tax payable		
13	Share capital		100,000
14	Retained earnings		193,000
15	Dividends	65,000	
16	Service revenue		286,000
17	Salary expense	172,000	
18	Supplies expense		
19	Depreciation expense—furniture and fixtures		
20	Depreciation expense—building		
21	Income tax expense		
22	Miscellaneous expense	13,000	
23	Total	\$1,174,000	\$ 1,174,000
24			

Answers

Requirements 1 and 3

(Amounts in thousands)

Assets		Liabilities		Shareholders' Equity	
Cash		Accounts Payable		Share Capital	
Bal.	198	Bal.	380	Bal.	100
Accounts Receivable		Salary Payable		Retained Earnings	
	370		(d) 5		Bal. 193
(e)	12		Bal. 5		
Bal.	382	Unearned Service Revenue		Dividends	
Supplies		(f)	32	Bal.	65
	6		Bal. 13		
Bal.	2	Income Tax Payable		Revenues	
Furniture and Fixtures			(g) 35	Service Revenue	
Bal.	100		Bal. 35		286
Accumulated Depreciation—Furniture and Fixtures				(e)	12
	40			(f)	32
(b)	20			Bal.	330
Bal.	60			Expenses	
Building				Salary Expense	
Bal.	250				172
Accumulated Depreciation—Building				(d)	5
	130			Bal.	177
(c)	10			Supplies Expense	
Bal.	140			(a)	4
				Bal.	4
				Depreciation Expense—Furniture and Fixtures	
				(b)	20
				Bal.	20
				Depreciation Expense—Building	
				(c)	10
				Bal.	10
				Income Tax Expense	
				(g)	35
				Bal.	35
				Miscellaneous Expense	
				Bal.	13

Requirement 2

A1				
A	B	C	D	E
1	(a) Dec. 31	Supplies Expense (\$6,000 – \$2,000)	4,000	
2		Supplies		4,000
3		To record supplies used.		
4				
5	(b) 31	Depreciation Expense—Furniture and Fixtures	20,000	
6		Accumulated Depreciation—Furniture and Fixtures		20,000
7		To record depreciation expense on furniture and fixtures.		
8				
9	(c) 31	Depreciation Expense—Building	10,000	
10		Accumulated Depreciation—Building		10,000
11		To record depreciation expense on building.		
12				
13	(d) 31	Salary Expense	5,000	
14		Salary Payable		5,000
15		To accrue salary expense.		
16				
17	(e) 31	Accounts Receivable	12,000	
18		Service Revenue		12,000
19		To accrue service revenue.		
20				
21	(f) 31	Unearned Service Revenue	32,000	
22		Service Revenue		32,000
23		To record unearned service revenue that has been earned.		
24				
25	(g) 31	Income Tax Expense	35,000	
26		Income Tax Payable		35,000
27		To accrue income tax expense.		
28				

Requirement 4

A1							
	A	B	C	D	E	F	G
1	Goldsmith Company Adjusted Trial Balance	December 31, 20X6					
2	(Amounts in thousands)	Trial Balance		Adjustments		Adjusted Trial Balance	
3	Account title	Debit	Credit	Debit	Credit	Debit	Credit
4	Cash	198				198	
5	Accounts receivable	370		(e) 12		382	
6	Supplies	6			(a) 4	2	
7	Furniture and fixtures	100				100	
8	Accumulated depreciation— furniture and fixtures		40		(b) 20		60
9	Building	250				250	
10	Accumulated depreciation— building		130		(c) 10		140
11	Accounts payable		380				380
12	Salary payable				(d) 5		5
13	Unearned service revenue		45	(f) 32			13
14	Income tax payable				(g) 35		35
15	Share capital		100				100
16	Retained earnings		193				193
17	Dividends	65				65	
18	Service revenue		286		(e) 12 (f) 32		330
19							
20	Salary expense	172		(d) 5		177	
21	Supplies expense			(a) 4		4	
22	Depreciation expense— furniture and fixtures			(b) 20		20	
23	Depreciation expense— building			(c) 10		10	
24	Income tax expense			(g) 35		35	
25	Miscellaneous expense	13				13	
26		1,174	1,174	118	118	1,256	1,256
27							

Requirement 5

A1		
	A	B C
1	Goldsmith Company	Year Ended
2	Income Statement	December 31, 20X6
3	(Amounts in thousands)	
4	Revenue:	
5	Service revenue	\$ 330
6	Expenses:	
7	Salary expense	\$ 177
8	Depreciation expense—furniture and fixtures	20
9	Depreciation expense—building	10
10	Supplies expense	4
11	Miscellaneous expenses	13
12	Income before tax	224
13	Income tax expense	106
14	Net income	35
15		\$ 71

A1		
	A	B
1	Goldsmith Company	Year Ended
2	Statement of Changes in Equity	December 31, 20X6
3	(Amounts in thousands)	
4	Total equity, December 31, 20X5	\$293
5	Add: Net income	71
6		264
7	Less: Dividends	(65)
8	Total equity, December 31, 20X6	\$299

A1						
	A	B	C	D	E	F
1	Goldsmith Company			As at December 31, 20X6		
2	Balance Sheet					
3	(Amounts in thousands)					
4	Assets			Liabilities		
5	Cash		\$ 198	Accounts payable	\$ 380	
6	Accounts receivable		382	Salary payable	5	
7	Supplies		2	Unearned service revenue	13	
8	Furniture and fixtures	\$100		Income tax payable	35	
9	Less: Accumulated depreciation	(60)	40	Total liabilities	433	
10				Shareholders' Equity		
11	Building	\$250		Share capital	100	
12	Less: Accumulated depreciation	(140)	110	Retained earnings	199	
13				Total shareholders' equity	299	
14	Total assets		\$ 732	Total liabilities and shareholders' equity	\$ 732	

2. The following normal balances appear on the *adjusted* trial balance of Parks National Company:

Equipment.....	\$150,000
Accumulated depreciation, equipment.....	22,500
Depreciation expense, equipment.....	7,500

The carrying amount of the equipment is

- a. \$120,000.
 - b. \$127,500.
 - c. \$142,500.
 - d. \$150,000.
3. Pisces, Inc., purchased supplies for \$1,300 during 20X6. At year-end, Pisces had \$800 of supplies left. The adjusting entry should
- a. credit Supplies \$800.
 - b. debit Supplies \$500.
 - c. debit Supplies Expense \$500.
 - d. debit Supplies Expense \$800.
4. The accountant for Starter Corp. failed to make the adjusting entry to record depreciation for the current year. The effect of this error is which of the following?
- a. Assets are overstated; shareholders' equity and net income are understated.
 - b. Assets, net income, and shareholders' equity are all overstated.
 - c. Assets and expenses are understated; net income is understated.
 - d. Net income is overstated and liabilities are understated.
5. Interest earned on a note receivable at December 31 equals \$400. What adjusting entry is required to accrue this interest?
- a. Interest Receivable 400
 Interest Revenue 400
 - b. Interest Expense 400
 Cash 400
 - c. Interest Expense 400
 Interest Payable 400
 - d. Interest Payable 400
 Interest Expense 400
6. If a real estate company fails to accrue commission revenue,
- a. revenues are understated and net income is overstated.
 - b. net income is understated and shareholders' equity is overstated.
 - c. liabilities are overstated and owners' equity is understated.
 - d. assets are understated and net income is understated.
7. All of the following statements are true except one. Which statement is false?
- a. Accrual-basis accounting produces better information than cash-basis accounting.
 - b. Adjusting entries are required for a business that uses the cash-basis accounting.
 - c. The matching concept directs accountants to identify and measure all expenses incurred and deduct them from revenues earned during the same period.
 - d. A fiscal year is not always the same as a calendar year.
8. The account Unearned Revenue is a(n)
- a. revenue.
 - b. asset.
 - c. liability.
 - d. expense.

9. Adjusting entries
 - a. are needed to measure the period's net income or net loss accounts.
 - b. usually do not debit or credit the cash account.
 - c. update the accounts.
 - d. apply to all of the above.
10. An adjusting entry that debits an expense and credits a liability is which type of expense?
 - a. Accrued expense
 - b. Cash expense
 - c. Prepaid expense
 - d. Depreciation expense
11. On a trial balance, which of the following would indicate that an error has been made?
 - a. Accumulated Depreciation has a credit balance.
 - b. Service Revenue has a debit balance.
 - c. Salary Expense has a debit balance.
 - d. All of the above indicate errors.
12. The entry to close Management Fee Revenue would be which of the following?
 - a. Retained Earnings
 - b. Management Fee Revenue
 - c. Retained Earnings
 - d. Dividend does not need to be closed.
13. Which of the following accounts is not closed?
 - a. Accumulated Depreciation
 - b. Dividends
 - c. Interest Revenue
 - d. Depreciation Expense

Accounting Vocabulary

accrual (p. 143) An expense or a revenue that occurs before the business pays or receives cash. An accrual is the opposite of a deferral.

accrual accounting (p. 132) Accounting that records the impact of a business event as it occurs, regardless of whether the transaction affected cash.

accrued expense (p. 147) An expense incurred but not yet paid in cash.

accrued revenue (p. 148) A revenue that has been earned but not yet received in cash.

accumulated depreciation (p. 151) The cumulative sum of all depreciation expense from the date of acquiring a PPE.

adjusted trial balance (p. 154) A list of all the ledger accounts with their adjusted balances.

carrying amount (of a PPE) (p. 151) The asset's cost minus accumulated depreciation.

cash-basis accounting (p. 132) Accounting that records only transactions in which cash is received or paid.

closing the books (p. 156) The process of preparing the accounts to begin recording the next period's transactions. Closing the accounts consists of journalizing and posting the closing entries to set the balances of the revenue, expense, and dividends accounts to zero. Also called closing the accounts.

closing entries (p. 156) Entries that transfer the income, expense, and dividends balances from these respective accounts to the Retained Earnings account.

contra account (p. 151) An account that always has a companion account and whose normal balance is opposite that of the companion account.

deferral (p. 142) An adjustment for which the business paid or received cash in advance. Examples include prepaid rent, prepaid insurance, and supplies.

depreciation (p. 143) Allocation of the cost of a PPE to expense over its useful life.

matching concept (p. 136) A concept for matching expenses to revenue. Directs accountants to identify all expenses incurred during the period, to measure the expenses, and to

match them against the revenues earned during that same period.

permanent accounts (p. 156) Asset, liability, and shareholders' equity accounts that are not closed at the end of the period.

prepaid expense (p. 143) A category of miscellaneous assets that typically expire or get used up in the near future. Examples include prepaid rent, prepaid insurance, and supplies.

property, plant and equipment or PPE (p. 149) Long-lived assets, such as land, buildings, and equipment, used in the operation of the business. Sometimes referred to as fixed assets or plant assets.

revenue recognition principle (p. 134) The basis for recording and measurement of revenues; tells accountants when to record revenue and the amount of revenue to record.

temporary accounts (p. 156) The revenue and expense accounts that relate to a limited period and are closed at the end of the period are temporary accounts. For a corporation, the Dividends account is also temporary.

time-period concept (p. 133) Ensures that accounting information is reported at regular intervals.

unearned revenue (p. 145) A liability created when a business collects cash from customers in advance of earning the revenue. The obligation is to provide a product or a service in the future.

ASSESS YOUR PROGRESS

Short Exercises

S3-1. (Learning Objective 1: Linking accrual accounting and cash flows) Patrick Corporation made sales of \$850 million during 20X6. Of this amount, Patrick collected cash for all but \$30 million. The company's cost of goods sold was \$225 million, and all other expenses for the year totaled \$355 million. Also during 20X6, Patrick paid \$320 million for its inventory and \$265 million for everything else. Beginning cash was \$140 million. Patrick's top management is interviewing you for a job and they ask two questions:

- a. How much was Patrick's net income for 20X6?
- b. How much was Patrick's cash balance at the end of 20X6?

You will get the job only if you answer both questions correctly.

S3-2. (Learning Objective 1: Explaining how accrual accounting differs from cash-basis accounting) County Corporation began 20X6 owing notes payable of \$4.2 million. During 20X6, County borrowed \$2.8 million on notes payable and paid off \$2.4 million of notes payable from prior years. Interest expense for the year was \$1.5 million, including \$0.3 million of interest payable accrued at December 31, 20X6.

Show what County should report for these facts on the following financial statements:

1. Income Statement
 - a. Interest expense
2. Balance Sheet
 - a. Notes payable
 - b. Interest payable

S3-3. (Learning Objectives 1, 2: Linking accrual accounting and cash flows; applying accounting principles) As the controller of Apple Consulting, you have hired a new employee, whom you must train. She objects to making an adjusting entry for accrued salaries at the end of the period. She reasons, "We will pay the salaries soon. Why not wait until payment to record the expense? In the end, the result will be the same." Write a reply to explain to the employee why the adjusting entry is needed for accrued salary expense.

S3-4. (Learning Objective 2: Applying the revenue and expense recognition principles) A large auto manufacturer sells large fleets of vehicles to auto rental companies, such as Lewis and Clark. Suppose Lewis is negotiating with the auto manufacturer to purchase 80 vehicles. Write a short paragraph to explain to the auto manufacturer when the company should, and should not, record this sales revenue and the related expense for cost of goods sold. Mention the accounting principles that provide the basis for your explanation.

S3-5. (Learning Objective 2: Applying accounting concepts and principles) Write a short paragraph in your own words to explain the concept of depreciation as used in accounting.

L0 1

L0 1

L0 1 2

■ writing assignment

L0 2

■ writing assignment

L0 2

L0 2

S3-6. (Learning Objective 2: Applying accounting concepts and principles) Identify the accounting concept or principle that gives the most direction on how to account for each of the following situations:

- a. A physician performs a surgical operation and bills the patient's insurance company. It may take four months to collect the payment from the insurance company. Should the physician record revenue now or wait until cash is collected?
- b. May has been a particularly slow month, and the business will have a net loss for the second quarter of the year. Management is considering not following its customary practice of reporting quarterly earnings to the public.
- c. Salary expense of \$2,835,000 is accrued at the end of the period to measure income properly.
- d. A utility bill is received on December 28 and will be paid next year. When should the company record this utility expense?
- e. A construction company is building a highway system, and construction will take five years. When should the company record the revenue it earns?

L0 3

S3-7. (Learning Objective 3: Adjusting prepaid expenses) Answer the following questions about prepaid expenses:

- a. On March 1, Sunshine Travel prepaid \$5,400 for six months' rent. Provide the adjusting entry to record rent expense at March 31. Include the date of the entry and an explanation. Then post all amounts to the two accounts involved and show their balances at March 31. Sunshine Travel adjusts the accounts only at March 31, the end of its fiscal year.
- b. On December 1, Sunshine Travel paid \$980 for supplies. At March 31, Sunshine has \$750 of supplies on hand. Make the required journal entry at March 31. Then post all amounts to the accounts and show their balances at March 31.

L0 1 3

S3-8. (Learning Objectives 1, 3: Recording depreciation; linking accrual accounting and cash flows) Suppose that on January 1 Gulfstream Golf Company paid cash of \$60,000 for computers that are expected to remain useful for four years. At the end of four years, the value of the computers are expected to be zero.

1. Make journal entries to record (a) the purchase of the computers on January 1, and (b) annual depreciation on December 31. Include dates and explanations, and use the following accounts: Computer Equipment; Accumulated Depreciation—Computer Equipment; and Depreciation Expense—Computer Equipment.
2. Post to the accounts and show their balances at December 31.
3. What is the computer equipment's carrying amount at December 31?

L0 2

S3-9. (Learning Objective 2: Applying the revenue recognition principles and matching concept) During 20X6, Litblue Airlines paid salary expenses of €39.7 million. At December 31, 20X6, Litblue accrued salary expenses of €3.1 million. Litblue then paid €2.3 million to its employees on January 3, 20X7, the company's next payday after the end of the 20X6 year. For this sequence of transactions, show what Litblue would report on its 20X6 Income Statement and on its Balance Sheet at the end of 20X6.

L0 3

S3-10. (Learning Objective 3: Accruing and paying interest expense) Leisure Travel borrowed \$100,000 on October 1 by signing a note payable to First State Bank. The interest expense for each month is \$800. The loan agreement requires Leisure to pay interest on December 31.

1. Make Leisure's adjusting entry to accrue monthly interest expense at October 31, at November 30, and at December 31. Date each entry and include its explanation.
2. Post all three entries to the Interest Payable account. You need not take the balance of the account at the end of each month.
3. Record the payment of three months' interest at December 31.

L0 3

S3-11. (Learning Objective 3: Accruing and receiving cash from interest revenue) Return to the situation in Short Exercise 3-10. Here you are accounting for the same transactions on the books of First State Bank, which lent the money to Leisure Travel.

1. Make First State Bank's adjusting entry to accrue monthly interest revenue at October 31, at November 30, and at December 31. Date each entry and include its explanation.

2. Post all three entries to the Interest Receivable account. You need not take the balance of the account at the end of each month.
3. Record the receipt of three months' interest at December 31.

S3-12. (Learning Objectives 1, 3: Relating accrual accounting to cash flows; adjusting the accounts) Write a paragraph to explain why unearned revenues are liabilities instead of revenues. In your explanation, use the following example: *The Asahi Shimbun*, a Japanese national newspaper, collects cash from subscribers in advance and later delivers newspapers to subscribers over a one-year period. Explain what happens to the unearned revenue over the course of a year as *The Asahi Shimbun* delivers papers to subscribers. Into what account does the earned subscription revenue go as *The Asahi Shimbun* delivers papers? Give the journal entries that *The Asahi Shimbun* would make to (a) collect ¥5 million of subscription revenue in advance, and (b) record earning ¥5 million of subscription revenue. Include an explanation for each entry, as illustrated in the chapter.

LO 1 3

■ writing assignment

S3-13. (Learning Objectives 3, 4: Adjusting the accounts; reporting prepaid expenses) Eagle Express Co. prepaid four years' rent (\$24,000) on January 1, 20X6. At December 31, 20X6, Eagle prepared a trial balance and then made the necessary adjusting entry at the end of the year. Eagle adjusts its accounts once each year—on December 31.

LO 3 4

What amount appears for Prepaid Rent on

- a. Eagle's *unadjusted* trial balance at December 31, 20X6?
- b. Eagle's *adjusted* trial balance at December 31, 20X6?

What amount appears for Rent Expense on

- a. Eagle's *unadjusted* trial balance at December 31, 20X6?
- b. Eagle's *adjusted* trial balance at December 31, 20X6?

S3-14. (Learning Objective 3: Adjusting the accounts) Richmond, Inc., collects cash from customers two ways:

LO 3

- a. **Accrued revenue.** Some customers pay Richmond after Richmond has performed services for the customer. During 20X6, Richmond performed services worth \$75,000 on account and later received cash of \$50,000 on account from these customers.
- b. **Unearned revenue.** A few customers pay Richmond in advance, and Richmond later performs the service for the customer. During 20X6, Richmond collected \$8,000 cash in advance and later earned \$3,600 of this amount.

Journalize for Richmond

- a. Earning service revenue of \$75,000 on account and then collecting \$45,000 on account.
- b. Receiving \$8,000 in advance and then earning \$3,600 as service revenue.

S3-15. (Learning Objective 4: Preparing the financial statements) Suppose Hawk Sporting Goods Company reported the following data at March 31, 20X8, with amounts in thousands:

LO 4

Retained earnings,		Cost of goods sold.....	\$142,500
March 31, 20X7	\$ 4,000	Cash.....	1,700
Accounts receivable.....	37,800	Property and equipment, net ...	7,500
Net revenues	188,000	Share capital.....	30,000
Total current liabilities..	48,000	Inventories	25,000
All other expenses	24,300	Long-term liabilities	8,000
Other current assets	6,400	Dividends	1,200
Other assets.....	31,600		

Use these data to prepare Hawk Sporting Goods Company's Income Statement for the year ended March 31, 20X8; statement of changes in equity for the year ended March 31, 20X8; and classified Balance Sheet at March 31, 20X8. Use the report format for the Balance Sheet. Draw arrows linking the three statements.

L0 5

S3-16. (Learning Objective 5: Making closing entries) Use the Hawk Sporting Goods Company data in Short Exercise 3-15 to make the company's closing entries at March 31, 20X8.

Then set up a T-account for Retained Earnings and post to that account. Compare Retained Earnings' ending balance to the amount reported on Hawk's statement of changes in equity and Balance Sheet. What do you find?

Exercises MyLab Accounting

Select A and B exercises can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select exercises using MyLab Accounting.

Group A

L0 1

E3-17A. (Learning Objective 1: Linking accrual accounting and cash flows) During 20X7, Milky Way Corporation made sales of \$4,600 (assume all on account) and collected cash of \$4,800 from customers. Operating expenses totaled \$1,100, all paid in cash. At year-end, 20X7, Milky Way customers owed the company \$500. Milky Way owed creditors \$1,200 on account. All amounts are in thousands.

1. For these facts, show what Milky Way reported on the following financial statements:
 - a. Income Statement
 - b. Balance Sheet
2. Suppose Milky Way had used the cash basis of accounting. What would Milky Way have reported for these facts?

L0 1

E3-18A. (Learning Objective 1: Linking accrual accounting and cash flows) During 20X7, Plateau Sales, Inc., earned revenues of \$590,000 on account. Plateau collected \$610,000 from customers during the year. Expenses totaled \$450,000, and the related cash payments were \$460,000. Show what Plateau would report on its 20X7 Income Statement under the

- a. cash basis.
- b. accrual basis.

Compute net income under both bases of accounting. Which basis measures net income better? Explain your answer.

L0 1 2

E3-19A. (Learning Objectives 1, 2: Using accrual accounting; applying accounting principles) During 20X8, Carson Network, Inc., which designs network servers, earned revenues of \$850 million. Expenses totaled \$560 million. Carson collected all but \$30 million of the revenues and paid \$610 million on its expenses. Carson's top managers are evaluating 20X8, and they ask you the following questions:

- a. Under accrual accounting, what amount of revenue should Carson Network report for 20X8? Is the revenue the \$850 million earned or is it the amount of cash actually collected? How does the revenue principle help to answer these questions?
- b. Under accrual accounting, what amount of total expense should Carson Network report for 20X8—\$560 million or \$610 million? Which accounting principle helps answer this question?
- c. Which financial statement reports revenues and expenses? Which statement reports cash receipts and cash payments?

L0 1 3

E3-20A. (Learning Objectives 1, 3: Journalizing adjusting entries and analyzing their effects on net income; comparing accrual and cash basis) An accountant made the following adjustments at December 31, the end of the accounting period:

- a. Prepaid insurance, beginning, \$600. Payments for insurance during the period, \$1,800. Prepaid insurance, ending, \$1,000.
- b. Interest revenue accrued, \$1,500.

- c. Unearned service revenue, beginning, \$1,200. Unearned service revenue, ending, \$800.
- d. Depreciation, \$4,400.
- e. Employees' salaries owed for three days of a five-day work week; weekly payroll, \$20,000.
- f. Income before income tax, \$24,000. Income tax rate is 25%.

Requirements

1. Journalize the adjusting entries.
2. Suppose the adjustments were not made. Compute the overall overstatement or understatement of net income as a result of the omission of these adjustments.

E3-21A. (Learning Objectives 2, 3: Applying the matching concept; allocating supplies cost between the asset and the expense) Blue Buttons, Inc., experienced four situations for its supplies. Compute the amounts that have been left blank for each situation. For situations 1 and 2, journalize the needed transaction. Consider each situation separately.

L0 2 3
■ spreadsheet

	Situation			
	1	2	3	4
Beginning supplies.....	\$ 200	\$ 900	\$ 1,500	\$ 800
Payments for supplies during the year.....	?	600	?	700
Total amount to account for	1,600	?	?	1,500
Ending supplies	(500)	(200)	(1,200)	?
Supplies expense.....	\$1,100	\$?	\$ 1,500	\$1,200

E3-22A. (Learning Objective 3: Journalizing adjusting entries) Jose Motor Company faced the following situations. Journalize the adjusting entry needed at December 31, 20X7, for each situation. Consider each fact separately.

L0 3

- a. The business has an interest expense of \$8,400 that it must pay by early January 20X8.
- b. Interest revenue of \$5,000 has been earned but not yet received.
- c. On July 1, when \$12,800 for rent was collected in advance, Cash was debited and Unearned Rent Revenue was credited. The tenant was paying two years' rent.
- d. Salary expense is \$1,600 per day—Monday through Friday—and the business pays employees each Friday. This year, December 31 falls on a Wednesday.
- e. The unadjusted balance of the Supplies account is \$3,500. The total cost of supplies on hand is \$1,300.
- f. Equipment was purchased at the beginning of this year at a cost of \$110,000. The equipment's useful life is five years. There is no residual value. Record depreciation for this year and then determine the equipment's carrying amount.

E3-23A. (Learning Objective 3: Making adjustments in T-accounts) The accounting records of Fiona Publishing Company include the following unadjusted balances at May 31: Accounts Receivable, \$1,500; Supplies, \$900; Salary Payable, \$0; Unearned Service Revenue, \$700; Service Revenue, \$5,000; Salary Expense, \$2,500; Supplies Expense, \$0.

L0 3

Fiona's accountant develops the following data for the May 31 adjusting entries:

- a. Supplies on hand, \$200
- b. Salary owed to employees, \$500
- c. Service revenue accrued, \$600
- d. Unearned service revenue that has been earned, \$400

Open the foregoing T-accounts with their beginning balances. Then record the adjustments directly in the accounts, keying each adjustment amount by letter. Show each account's adjusted balance. Journal entries are not required.

L0 4

E3-24A. (*Learning Objective 4: Preparing the financial statements*) The adjusted trial balance of Tasty Food, Inc., follows.

A1			
	A	B	C
	Tasty Food, Inc.	December 31, 20X8	
	Adjusted Trial Balance		
1			
2	(Amounts in thousands)		
3	Account	Debit	Credit
4	Cash	\$ 3,900	
5	Accounts receivable	1,600	
6	Inventories	1,200	
7	Prepaid expenses	1,800	
8	Property, plant, and equipment	6,600	
9	Accumulated depreciation		\$ 2,200
10	Other assets	9,500	
11	Accounts payable		7,700
12	Income tax payable		500
13	Other liabilities		2,300
14	Share capital		4,800
15	Retained earnings (beginning, December 31, 20X7)		4,700
16	Dividends	1,500	
17	Sales revenue		41,800
18	Cost of goods sold	26,300	
19	Selling, administrative, and general expenses	10,200	
20	Income tax expense	1,400	
21			
22	Total	\$64,000	\$64,000
23			

Requirement

1. Prepare Tasty Food, Inc.'s Income Statement and statement of changes in equity for the year ended December 31, 20X8, and its Balance Sheet on that date.

L0 3 4

E3-25A. (*Learning Objectives 3, 4: Measuring financial statement amounts; preparing financial statement amounts*) The adjusted trial balances of Doyle Corporation at March 31, 20X8, and March 31, 20X7, include these amounts (in millions):

	20X8	20X7
Receivables.....	\$370	\$290
Prepaid insurance.....	160	190
Accrued liabilities payable (for other operating expenses)	710	630

Doyle completed these transactions (in millions) during the year ended March 31, 20X8.

Collections from customers	\$20,400
Payment of prepaid insurance	450
Cash payments for other operating expenses.....	4,100

Compute the amount of sales revenue, insurance expense, and other operating expenses to report on the Income Statement for the year ended March 31, 20X8.

E3-26A. (Learning Objective 4: Reporting on the financial statements) This question deals with the items and the amounts that two entities, Mother Catherine Hospital (Mother Catherine) and City of Cologne (Cologne), should report in their financial statements. Fill in the blanks.

LO 4

Requirements

- On July 1, 20X6, Mother Catherine collected \$6,000 in advance from Cologne, a client. Under the contract, Mother Catherine is obligated to perform medical exams for City of Cologne employees evenly during the 12 months ending June 30, 20X7. Assume you are Mother Catherine.
Mother Catherine's Income Statement for the year ended December 31, 20X6, will report _____ of \$ _____.
Mother Catherine's Balance Sheet at December 31, 20X6, will report _____ of \$ _____.
- Cologne's Income Statement for the year ended December 31, 20X6, will report _____ of \$ _____.
Cologne's Balance Sheet at December 31, 20X6, will report _____ of \$ _____.

E3-27A. (Learning Objectives 1, 3: Linking deferrals and cash flows) New Age Mobile, the British wireless phone service provider, collects cash in advance from customers. All amounts are in millions of pound sterling (£). Assume New Age Mobile collected £410 in advance during 20X7 and at year-end still owed customers phone service worth £160.

LO 1 3

Requirements

- Show what New Age Mobile will report for 20X7 on its Income Statement and Balance Sheet.
- Use the same facts for New Age Mobile as in Requirement 1. Further, assume New Age Mobile reported unearned service revenue of £65 back at the end of 20X6. Show what New Age Mobile will report for 20X7 on the same financial statements. Explain why your answer here differs from your answer to Requirement 1.

E3-28A. (Learning Objective 5: Closing the accounts) Prepare the closing entries from the following selected accounts from the records of Sunnyside Corporation at December 31, 20X8:

LO 5

Cost of services sold	\$11,500	Service revenue.....	\$24,900
Accumulated depreciation...	42,800	Depreciation expense	4,800
Selling, general, and		Other revenue	800
administrative expenses....	6,200	Dividends.....	900
Retained earnings,		Income tax expense	500
December 31, 20X5	2,600	Income tax payable	700

How much net income did Sunnyside earn during 20X8? Prepare a T-account for Retained Earnings to show the December 31, 20X8, balance of Retained Earnings.

E3-29A. (Learning Objectives 3, 5: Identifying and recording adjusting and closing entries) The unadjusted trial balance and Income Statement amounts from the December 31 adjusted trial balance of Tape Production Company follow.

LO 3 5

A1					
	A	B	C	D	E
1	Tape Production Company				
2	Account	Unadjusted	From the Adjusted		
3	Cash	14,800			
4	Prepaid rent	1,200			
5	Equipment	45,000			
6	Accumulated depreciation		3,300		
7	Accounts payable		5,300		
8	Salary payable				
9	Unearned service revenue		9,400		
10	Income tax payable				
11	Notes payable, long term		13,500		
12	Share capital		8,600		
13	Retained earnings		14,200		
14	Dividends	1,300			
15	Service revenue		13,600		20,400
16	Salary expense	4,600		5,200	
17	Rent expense	1,000		1,400	
18	Depreciation expense			500	
19	Income tax expense			1,000	
20	Total	67,900	67,900	8,100	20,400
21					

Requirement

1. Journalize the adjusting and closing entries of Tape Production Company at December 31. There was only one adjustment to Service Revenue.

Group B

L0 1

E3-30B. (Learning Objective 1: Linking accrual accounting and cash flows) During 20X7, Andromeda Corporation made sales of €4,200 (assume all on account) and collected cash of €4,800 from customers. Operating expenses totaled €1,400, all paid in cash. At year-end, 20X7, Andromeda customers owed the company €400. Andromeda owed creditors €800 on account. All amounts are in thousands.

1. For these facts, show what Andromeda reported on the following financial statements:
 - a. Income Statement
 - b. Balance Sheet
2. Suppose Andromeda had used the cash basis of accounting. What would Andromeda have reported for these facts?

L0 1

E3-31B. (Learning Objective 1: Linking accrual accounting and cash flows) During 20X7, Valley Sales, Inc., earned revenues of €690,000 on account. Valley collected €650,000 from customers during the year. Expenses totaled €500,000, and the related cash payments were €440,000. Show what Valley would report on its 20X7 Income Statement under the

- a. cash basis.
- b. accrual basis.

Compute net income under both bases of accounting. Which basis measures net income better? Explain your answer.

L0 1 2

E3-32B. (Learning Objectives 1, 2: Using the accrual basis of accounting; applying accounting principles) During 20X8, Carlton Network, Inc., which designs network servers, earned revenues of €800 million. Expenses totaled €590 million. Carlton collected all but €25 million of the revenues and paid €570 million on its expenses. Carlton's top managers are evaluating 20X8, and they ask you the following questions:

- Under accrual accounting, what amount of revenue should Carlton Network report for 20X8? Is it the revenue of €800 million earned or is it the amount of cash actually collected? How does the revenue principle help to answer these questions?
- Under accrual accounting, what amount of total expense should Carlton report for 20X8—€590 million or €570 million? Which accounting principle helps to answer this question?
- Which financial statement reports revenues and expenses? Which statement reports cash receipts and cash payments?

E3-33B. (*Learning Objectives 1, 3: Journalizing adjusting entries and analyzing their effects on net income; comparing accrual and cash basis*) An accountant made the following adjustments at December 31, the end of the accounting period:

L0 1 3

- Prepaid insurance, beginning, €800. Payments for insurance during the period, €2,500. Prepaid insurance, ending, €1,400.
- Interest revenue accrued, €1,200.
- Unearned service revenue, beginning, €1,500. Unearned service revenue, ending, €600.
- Depreciation, €4,700.
- Employees' salaries owed for three days of a five-day work week; weekly payroll, €24,000.
- Income before income tax, €21,000. Income tax rate is 25%.

Requirements

- Journalize the adjusting entries.
- Suppose the adjustments were not made. Compute the overall overstatement or understatement of net income as a result of the omission of these adjustments.

E3-34B. (*Learning Objectives 2, 3: Applying the revenue recognition principles; allocating supplies cost between the asset and the expense*) Mega Minds, Inc., experienced four situations for its supplies. Compute the amounts that have been left blank for each situation. For situations 1 and 2, journalize the needed transaction. Consider each situation separately.

L0 2 3

■ spreadsheet

	Situation			
	1	2	3	4
Beginning supplies.....	\$ 100	\$ 600	\$1,100	\$ 700
Payments for supplies during the year.....	?	1,000	?	600
Total amount to account for	1,600	?	?	1,300
Ending supplies	(400)	(200)	(800)	?
Supplies expense.....	\$1,200	\$?	\$1,000	\$ 800

E3-35B. (*Learning Objective 3: Journalizing adjusting entries*) Felipe Motor Company faced the following situations. Journalize the adjusting entry needed at December 31, 20X7, for each situation. Consider each fact separately.

L0 3

- The business has an interest expense of €9,000 that it must pay early in January 20X8.
- Interest revenue of €4,800 has been earned but not yet received.
- On July 1, €13,200 rent in advance was collected; Cash was debited and Unearned Rent Revenue was credited. The tenant was paying two years' rent.
- Salary expense is €1,800 per day—Monday through Friday—and the business pays employees each Friday. This year, December 31 falls on a Wednesday.
- The unadjusted balance of the Supplies account is €3,300. The total cost of supplies on hand is €1,200.
- Equipment was purchased at the beginning of this year at a cost of €150,000. The equipment's useful life is five years. There is no residual value. Record depreciation for this year and then determine the equipment's carrying amount.

L0 3

E3-36B. (Learning Objective 3: Making adjustments in T-accounts) The accounting records of Harry Publishing Company include the following unadjusted balances at May 31: Accounts Receivable, €1,400; Supplies, €500; Salary Payable, €0; Unearned Service Revenue, €600; Service Revenue, €4,900; Salary Expense, €1,700; Supplies Expense, €0.

Harry's accountant develops the following data for the May 31 adjusting entries:

- a. Supplies on hand, €300
- b. Salary owed to employees, €800
- c. Service revenue accrued, €200
- d. Unearned service revenue that has been earned, €100

Open the foregoing T-accounts with their beginning balances. Then record the adjustments directly in the accounts, keying each adjustment amount by letter. Show each account's adjusted balance. Journal entries are not required.

L0 4

E3-37B. (Learning Objective 4: Preparing the financial statements) The adjusted trial balance of Sweet Hut, Inc., is as follows.

A1			
	A	B	C
	Sweet Hut, Inc.	December 31, 20X8	
	Adjusted Trial Balance		
1			
2	(Amounts in thousands)	Adjusted Trial Balance	
3	Account	Debit	Credit
4	Cash	\$ 3,600	
5	Accounts receivable	1,600	
6	Inventories	1,300	
7	Prepaid expenses	1,700	
8	Property, plant, and equipment	6,800	
9	Accumulated depreciation		\$ 2,800
10	Other assets	9,600	
11	Accounts payable		7,900
12	Income tax payable		1,000
13	Other liabilities		2,800
14	Share capital		4,900
15	Retained earnings (beginning, December 31, 20X7)		4,800
16	Dividends	1,200	
17	Sales revenue		40,900
18	Cost of goods sold	26,400	
19	Selling, administrative, and general expenses	10,500	
20	Income tax expense	2,400	
21			
22	Total	\$ 65,100	\$ 65,100
23			

Requirement

1. Prepare Sweet Hut, Inc.'s Income Statement and statement of changes in equity for the year ended December 31, 20X8, and its Balance Sheet on that date. Draw arrows linking the three statements.

E3-38B. (*Learning Objectives 3, 4: Measuring financial statement amounts; preparing financial statement amounts*) The adjusted trial balances of Austen Corporation at March 31, 20X8, and March 31, 20X7, include these amounts (in millions):

L0 3 4

	20X8	20X7
Receivables.....	€350	€230
Prepaid insurance	130	140
Accrued liabilities payable (for other operating expenses)	700	660

Austen completed these transactions during the year ended March 31, 20X8.

Collections from customers	\$20,500
Payment of prepaid insurance	420
Cash payments for other operating expenses.....	4,300

Compute the amount of sales revenue, insurance expense, and other operating expenses to report on the Income Statement for the year ended March 31, 20X8.

E3-39B. (*Learning Objective 4: Reporting on the financial statements*) This question deals with the items and the amounts that two entities, Mother Claire Hospital (Mother Claire) and City of Murcia (Murcia), should report in their financial statements. Fill in the blanks.

L0 4

Requirements

- On July 1, 20X6, Mother Claire collected €8,600 in advance from Murcia, a client. Under the contract, Mother Claire is obligated to perform medical exams for Murcia employees evenly during the 12 months ending June 30, 20X7.
Mother Claire's Income Statement for the year ended December 31, 20X6, will report ____ of € ____.
Mother Claire's Balance Sheet at December 31, 20X6, will report ____ of € ____.
- Murcia's Income Statement for the year ended December 31, 20X6, will report ____ of € ____.
Murcia's Balance Sheet at December 31, 20X6, will report ____ of € ____.

E3-40B. (*Learning Objectives 1, 3: Linking deferrals and cash flows*) GTel, the British wireless phone service provider, collects cash in advance from customers. All amounts are in millions of pounds sterling (£). Assume GTel collected £500 in advance during 20X7 and at year-end still owed customers phone service worth £125.

L0 1 3

Requirements

- Show what GTel will report for 20X7 on its Income Statement Balance Sheet.
- Use the same facts for GTel as in Requirement 1. Further, assume GTel reported unearned service revenue of £85 back at the end of 20X6. Show what GTel will report for 20X7 on the same financial statements. Explain why your answer here differs from your answer to Requirement 1.

E3-41B. (*Learning Objective 5: Closing the accounts*) Prepare the closing entries from the following selected accounts from the records of North Shore Corporation at December 31, 20X8:

L0 5

Cost of services sold	\$11,600	Service revenue.....	\$24,800
Accumulated depreciation...	42,800	Depreciation expense	4,700
Selling, general, and administrative expenses	6,400	Other revenue	900
Retained earnings, December 31, 20X7	2,500	Dividends	800
		Income tax expense	700
		Income tax payable	500

How much net income did North Shore earn during 20X8? Prepare a T-account for Retained Earnings to show the December 31, 20X8, balance of Retained Earnings.

L0 3 5

E3-42B. (*Learning Objectives 3, 5: Identifying and recording adjusting and closing entries*) The unadjusted trial balance and Income Statement amounts from the December 31 adjusted trial balance of Cassette Production Company follow.

A1	A	B	C	D	E
1	Cassette Production Company				
2	Account	Unadjusted Trial Balance		From the Adjusted Trial Balance	
3	Cash	14,500			
4	Prepaid rent	1,200			
5	Equipment	46,000			
6	Accumulated depreciation		3,300		
7	Accounts payable		5,100		
8	Salary payable				
9	Unearned service revenue		9,400		
10	Income tax payable				
11	Notes payable, long term		13,500		
12	Share capital		8,500		
13	Retained earnings		15,000		
14	Dividends	1,100			
15	Service revenue		13,300		19,600
16	Salary expense	4,500		5,200	
17	Rent expense	800		1,500	
18	Depreciation expense			600	
19	Income tax expense			900	
20	Total	68,100	68,100	8,200	19,600
21					

Requirement

1. Journalize the adjusting and closing entries of Cassette Production Company at December 31. There was only one adjustment to Service Revenue.

Serial Exercise

Exercise 3-43 continues the Jerome Smith, Certified Public Accountant, P.C., situation begun in Exercise 2-36.

L0 3 4 5

E3-43. (*Learning Objectives 3, 4, 5: Adjusting the accounts; preparing the financial statements; closing the accounts*) Refer to Exercise 2-36. Start from the trial balance and the posted T-accounts that Jerome Smith, Certified Public Accountant, Professional Corporation (P.C.), prepared for his accounting practice at March 18. A professional corporation is not subject to income tax. Later in March, the business completed these transactions:

Mar 21	Received \$2,000 in advance for tax work to be performed over the next 30 days.
21	Hired a secretary to be paid on the 15th day of each month.
26	Paid \$800 for the supplies purchased on March 5.
28	Collected \$1,900 from the client on March 18.
31	Declared and paid dividends of \$1,600.

Requirements

1. Journalize the transactions of March 21 through 31.
2. Post the March 21 to 31 transactions to the T-accounts, keying all items by date.
3. Prepare a trial balance at March 31.
4. At March 31, gather the following information for the adjusting entries:
 - a. Accrued service revenue, \$1,800
 - b. Earned \$600 of the service revenue collected in advance on March 21
 - c. Supplies on hand, \$300
 - d. Depreciation expense equipment, \$70; furniture, \$125
 - e. Accrued expense for secretary's salary, \$620

Make these adjustments in the adjustments columns and complete the adjusted trial balance at March 31.
5. Journalize and post the adjusting entries. Denote each adjusting amount as Adj. and an account balance as Bal.
6. Prepare the Income Statement and statement of changes in equity of Jerome Smith Certified Public Accountant, P.C., for the month ended March 31 and the classified Balance Sheet at that date.
7. Journalize and post the closing entries at March 31. Denote each closing amount as Clo. and an account balance as Bal.

Challenge Exercises

E3-44. (Learning Objectives 3, 4: Computing financial statement amounts) The accounts of Gretel Company prior to the year-end adjustments follow.

L0 3 4

Cash.....	\$ 16,700	Share capital.....	\$ 14,500
Accounts receivable.....	7,200	Retained earnings.....	45,000
Supplies.....	4,100	Dividends.....	13,000
Prepaid insurance.....	3,500	Service revenue.....	165,000
Building.....	110,000	Salary expense.....	38,000
Accumulated depreciation— building.....	15,000	Depreciation expense— building.....	
Land.....	50,000	Supplies expense.....	
Accounts payable.....	7,700	Insurance expense.....	
Salary payable.....		Advertising expense.....	7,700
Unearned service revenue.....	5,400	Utilities expense.....	2,400

Adjusting data at the end of the year include which of the following?

- a. Unearned service revenue that has been earned, \$1,820
- b. Accrued service revenue, \$34,000
- c. Supplies used in operations, \$3,400
- d. Accrued salary expense, \$3,300
- e. Prepaid insurance expired, \$1,400
- f. Depreciation expense—building, \$2,500

Hansel Lacourse, the principal shareholder, has received an offer to sell Gretel Company. He needs to know the following information within one hour:

- a. Net income for the year covered by these data
- b. Total assets
- c. Total liabilities
- d. Total shareholders' equity
- e. Proof that $\text{Total assets} = \text{Total liabilities} + \text{Total shareholders' equity}$ after all items are updated.

Requirement

1. Without opening any accounts, making any journal entries, or using a work sheet, provide Mr. Lacourse with the requested information. The business is not subject to income tax.

Quiz

Test your understanding of accrual accounting by answering the following questions. Select the best choice from among the possible answers given.

Questions 45–47 are based on the following facts:

Denise Kelly began a cleaning supplies business in January 20X8. Kelly prepares monthly financial statements and uses the accrual basis of accounting. The following transactions are Kelly Company's only activities during January through April:

Jan. 14	Bought cleaning supplies on account for \$28, with payment to the supplier due in 90 days.
Feb. 3	Performed a job on account for Jodi Jetson for \$35, collectible from Jetson in 30 days. Used up all the cleaning supplies purchased on Jan. 14.
Mar. 16	Collected the \$35 receivable from Jetson.
Apr. 22	Paid the \$28 owed to the supplier from the January 14 transaction.

Q3-45. In which month should Kelly record the cost of the cleaning supplies as an expense?

- | | |
|-------------|----------|
| a. January | c. March |
| b. February | d. April |

Q3-46. In which month should Kelly report the \$35 revenue on the company's Income Statement?

- | | |
|-------------|----------|
| a. January | c. March |
| b. February | d. April |

Q3-47. If Kelly Company uses the *cash* basis of accounting instead of the accrual basis, in which month will it report revenue and in which month will it report expense?

- | Revenue | Expense |
|-------------|----------|
| a. February | February |
| b. March | April |
| c. February | April |
| d. March | February |

Q3-48. In which month should revenue be recorded?

- a. In the month that goods are ordered by the customer
- b. In the month that cash is collected from the customer
- c. In the month that the invoice is mailed to the customer
- d. In the month that goods are shipped to the customer

Q3-49. On January 1 of the current year, Dumbo Company paid \$1,200 rent to cover six months (January–June). Dumbo recorded this transaction as follows:

A1					
	A	B	C	D	E
1		Journal Entry			
2	Date	Accounts	Debit	Credit	
3	Jan. 1	Prepaid Rent	1,200		
4		Cash		1,200	
5					

Dumbo adjusts the accounts at the end of each month. Based on these facts, the adjusting entry at the end of January should include:

- a. a debit to Prepaid Rent for \$1,000.
- b. a debit to Prepaid Rent for \$200.
- c. a credit to Prepaid Rent for \$1,000.
- d. a credit to Prepaid Rent for \$200.

Q3-50. Assume the same facts as in question 3-49. Dumbo's adjusting entry at the end of February should include a debit to Rent Expense in the amount of

- a. \$400.
- b. \$0.
- c. \$200.
- d. \$1,000.

Q3-51. What effect does the adjusting entry in question 3-50 have on Dumbo's net income for February?

- a. Increase by \$200
- b. Increase by \$400
- c. Decrease by \$200
- d. Decrease by \$400

Q3-52. An adjusting entry recorded April salary expense that will be paid in May. Which statement best describes the effect of this adjusting entry on the company's accounting equation?

- a. Assets are not affected, liabilities are increased, and shareholders' equity is decreased.
- b. Assets are not affected, liabilities are increased, and shareholders' equity is increased.
- c. Assets are decreased, liabilities are increased, and shareholders' equity is decreased.
- d. Assets are decreased, liabilities are not affected, and shareholders' equity is decreased.

Q3-53. On April 1, 20X7, Royal Insurance Company sold a one-year insurance policy covering the year ended April 1, 20X8. Royal collected the full \$3,200 on April 1, 20X7. Royal made the following journal entry to record the receipt of cash in advance:

A1				
	A	B	C	D
1		Journal Entry		
2	Date	Accounts	Debit	Credit
3	Apr. 1	Cash	3,200	
4		Unearned Revenue		3,200
5				

Nine months have passed, and Royal has made no adjusting entries. Based on these facts, the adjusting entry needed by Royal at December 31, 20X7, is:

A1				
	A	B	C	D
1	a.	Unearned Revenue	2,400	
2		Insurance Revenue		2,400
3	b.	Insurance Revenue	800	
4		Unearned Revenue		800
5	c.	Unearned Revenue	800	
6		Insurance Revenue		800
7	d.	Insurance Revenue	2,400	
8		Unearned Revenue		2,400
9				

Q3-54. The Unearned Revenue account of Genius Incorporated began 20X6 with a normal balance of \$3,000 and ended 20X6 with a normal balance of \$18,000. During 20X6, the Unearned Revenue account was credited for \$27,000 that Genius will earn later. Based on these facts, how much revenue did Genius earn in 20X6?

- a. \$6,000
- b. \$12,000
- c. \$15,000
- d. \$27,000

Q3-55. What is the effect on the financial statements of *recording* depreciation on equipment?

- a. Assets are decreased, but net income and shareholders' equity are not affected.
- b. Net income and assets are decreased, but shareholders' equity is not affected.
- c. Net income is not affected, but assets and shareholders' equity are decreased.
- d. Net income, assets, and shareholders' equity are all decreased.

Q3-56. For 20X6, Martin Company had revenues in excess of expenses. Which statement describes Martin's closing entries at the end of 20X6?

- a. Revenues will be debited, expenses will be credited, and retained earnings will be debited.
- b. Revenues will be credited, expenses will be debited, and retained earnings will be debited.
- c. Revenues will be debited, expenses will be credited, and retained earnings will be credited.
- d. Revenues will be credited, expenses will be debited, and retained earnings will be credited.

Q3-57. Which of the following accounts would *not* be included in the closing entries?

- a. Accumulated Depreciation
- b. Depreciation Expense
- c. Service Revenue
- d. Retained Earnings

Q3-58. A major purpose of preparing closing entries is to

- a. update the Retained Earnings account.
- b. adjust the asset accounts to their correct current balances.
- c. close out the Supplies account.
- d. zero out the liability accounts.

Q3-59. Unadjusted net income equals \$7,800. Calculate net income after the following adjustments: Salaries payable to employees, \$680; Interest due on note payable at the bank, \$120; Unearned revenue that has been earned, \$940; Supplies used, \$360

- a. \$8,020
- b. \$7,800
- c. \$7,580
- d. \$7,820

Q3-60. Salary Payable at the beginning of the month totals \$27,000. During the month, salaries of \$132,000 were accrued as expense. If ending Salary Payable is \$18,000, what amount of cash did the company pay for salaries during the month?

- a. \$123,000
- b. \$132,000
- c. \$141,000
- d. \$159,000

Problems MyLab Accounting

Select A and B problems can be found within MyLab Accounting, an online homework and practice environment. Your instructor may ask you to complete select problems using MyLab Accounting.

Group A

L0 1

P3-61A. (Learning Objective 1: Linking accrual accounting and cash flows) Catdog Corporation earned revenues of \$45 million during 20X7 and ended the year with net income of \$8 million. During 20X7, Catdog collected \$25 million from customers and paid cash for all of its expenses plus an additional \$5 million for amounts payable at December 31, 20X6. Answer these questions about Catdog's operating results, financial position, and cash flows during 20X7:

Requirements

- How much were Catdog's total expenses? Show your work.
- Identify all the items that Catdog will report on its 20X7 Income Statement. Show each amount.

3. Catdog began 20X7 with receivables of \$6 million. All sales are on account. What was the company's receivables balance at the end of 20X7? Identify the appropriate financial statement, and show how Catdog will report ending receivables in its 20X7 annual report.
4. Catdog began 20X7 owing accounts payable of \$8 million. All expenses are incurred on account. During 20X7, Catdog paid \$41 million on account. How much in accounts payable did the company owe at the end of 20X7? Identify the appropriate financial statement and show how Catdog will report accounts payable in its 20X7 annual report.

P3-62A. (*Learning Objective 1: Comparing cash basis and accrual basis*) Ethan Consulting had the following transactions in May:

L0 1

May 1	Prepaid insurance for May through September, \$400.
4	Purchased software for cash, \$700.
5	Performed services and received cash, \$800.
8	Paid advertising expense, \$500.
11	Performed service on account, \$3,600.
19	Purchased computer on account, \$1,300.
24	Collected for May 11 service.
26	Paid account payable from May 19.
29	Paid salary expense, \$600.
31	Adjusted for May insurance expense (see May 1).
31	Earned revenue of \$400 that was collected in advance back in April.

Requirements

1. Show how each transaction would be handled using the cash basis and the accrual basis.
2. Compute May income (loss) before tax under each accounting method.
3. Indicate which measure of net income or net loss is preferable. Use the transactions on May 11 and May 24 to explain.

P3-63A. (*Learning Objective 3: Making accounting adjustments*) Journalize the adjusting entry needed on December 31, the end of the current accounting period, for each of the following independent cases affecting Speedy Corp. Include an explanation for each entry.

L0 3

writing assignment

- a. Details of Prepaid Insurance are shown in the account:

Prepaid Insurance			
Jan. 1	Bal.	900	
Mar. 31		3,600	

Speedy prepays insurance on March 31 each year. At December 31, \$1,700 is still prepaid.

- b. Speedy pays employees each Friday. The amount of the weekly payroll is \$6,200 for a five-day work week. The current accounting period ends on Tuesday.
- c. Speedy has a note receivable. During the current year, Speedy has earned accrued interest revenue of \$500 that it will collect next year.
- d. The beginning balance of supplies was \$2,500. During the year, Speedy purchased supplies costing \$6,300, and at December 31 supplies on hand total \$2,100.
- e. Speedy is providing services for Gold Investments, and the owner of Gold paid Speedy \$15,000 as the annual service fee. Speedy recorded this amount as Unearned Service Revenue. Speedy estimates that it has earned 70% of the total fee during the current year.
- f. Depreciation for the current year includes Office Furniture worth \$3,200 and Equipment worth \$5,000. Make a combined entry.

L0 3 4

P3-64A. (*Learning Objectives 3, 4: Preparing an adjusted trial balance and the financial statements*) Consider the unadjusted trial balance of Moscow, Inc., at December 31, 20X6, and the related month-end adjustment data.

A1							
A							
Moscow, Inc. Trial Balance Worksheet December 31, 20X6							
		Trial Balance		Adjustments		Adjusted Trial Balance	
Account		Debit	Credit	Debit	Credit	Debit	Credit
1	Cash	8,900					
2	Accounts receivable	1,300					
3	Prepaid rent	2,400					
4	Supplies	2,600					
5	Furniture	72,000					
6	Accumulated depreciation		4,000				
7	Accounts payable		3,400				
8	Salary payable						
9	Share capital		12,000				
10	Retained earnings		63,250				
11	Dividends	3,600					
12	Service revenue		11,200				
13	Salary expense	2,400					
14	Rent expense						
15	Utilities expense	650					
16	Depreciation expense						
17	Supplies expense						
18	Total	93,850	93,850				
19							

Adjustment data December 31, 20X6:

- Accrued service revenue at December 31, \$2,200.
- Prepaid rent expired during the month. The unadjusted prepaid balance of \$2,400 relates to the period December 1, 20X6, through February, 20X7.
- Supplies used during December, \$2,100.
- Depreciation on furniture for the month. The estimated useful life of the furniture is three years.
- Accrued salary expense at December 31 for Monday, Tuesday, and Wednesday. The five-day weekly payroll of \$5,000 will be paid on Friday.

Requirements

- Using Exhibit 3-9 as an example, prepare the adjusted trial balance of Moscow, Inc., at December 31, 20X6. Key each adjusting entry by letter.
- Prepare the monthly Income Statement, the statement of changes in equity, and the classified Balance Sheet. Draw arrows linking the three statements.

P3-65A. (*Learning Objective 3: Analyzing and recording adjustments*) Cherrytree Apartments, Inc.'s unadjusted and adjusted trial balances at April 30, 20X6, follow.

L0 3

A1					
A		B	C	D	E
Cherrytree Apartments, Inc. Adjusted Trial Balance		April 30, 20X6			
Account	Trial Balance		Adjusted Trial Balance		
	Debit	Credit	Debit	Credit	
Cash	\$ 8,900		\$ 8,900		
Accounts receivable	5,900		7,580		
Interest receivable			400		
Note receivable	4,400		4,400		
Supplies	1,800		800		
Prepaid insurance	2,300		500		
Building	70,000		70,000		
Accumulated depreciation		\$ 7,400		\$ 8,900	
Accounts payable		6,700		6,700	
Wages payable				1,100	
Unearned rental revenue		2,100		1,400	
Share capital		17,000		17,000	
Retained earnings		40,000		40,000	
Dividends	3,300		3,300		
Rental revenue		25,100		27,480	
Interest revenue		400		600	
Depreciation expense			1,500		
Supplies expense			1,000		
Utilities expense	400		400		
Wage expense	1,300		2,400		
Property tax expense	400		400		
Insurance expense			1,800		
Total	\$ 98,700	\$ 98,700	\$ 103,380	\$ 103,380	

Requirements

1. Make the adjusting entries that account for the differences between the two trial balances.
2. Compute Cherrytree's total assets, total liabilities, total equity, and net income.

LO 4

■ spreadsheet

P3-66A. (*Learning Objectives 4: Preparing the financial statements*) The adjusted trial balance of Seinfeld Corporation at September 30, 20X6, follows.

A1			
	A	B	C
	Seinfeld Corporation Adjusted Trial Balance	September 30, 20X6	
1			
2	Account	Debit	Credit
3	Cash	\$ 2,200	
4	Accounts receivable	9,500	
5	Supplies	2,600	
6	Prepaid rent	1,300	
7	Equipment	38,800	
8	Accumulated depreciation		\$ 4,400
9	Accounts payable		3,500
10	Interest payable		300
11	Unearned service revenue		900
12	Income tax payable		2,000
13	Note payable		19,800
14	Share capital		4,000
15	Retained earnings		5,200
16	Dividends	20,000	
17	Service revenue		102,600
18	Depreciation expense	1,800	
19	Salary expense	39,800	
20	Rent expense	10,400	
21	Interest expense	3,400	
22	Insurance expense	3,500	
23	Supplies expense	2,900	
24	Income tax expense	6,500	
25	Total	\$ 142,700	\$ 142,700
26			

Requirements

1. Prepare Seinfeld Corporation's 20X6 Income Statement, statement of changes in equity, and Balance Sheet. List expenses (except for income tax) in decreasing order on the Income Statement and show total liabilities on the Balance Sheet. Draw arrows linking the three financial statements.

LO 5

P3-67A. (*Learning Objective 5: Closing the books; evaluating retained earnings*) The accounts of Bay View Services, Inc., at June 30, 20X6, are listed in alphabetical order.

Accounts payable.....	\$ 14,400	Note payable, long term.....	\$ 6,000
Accounts receivable.....	16,100	Other assets.....	14,400
Accumulated depreciation- equipment.....	6,900	Prepaid expenses.....	6,000
Advertising expense.....	10,500	Retained earnings, June 30, 20X5.....	21,000
Cash.....	7,900	Salary expense.....	17,600
Current portion of note payable.....	1,000	Salary payable.....	2,700
Depreciation expense.....	1,800	Service revenue.....	95,400
Dividends.....	21,200	Share capital.....	6,600
Equipment.....	51,600	Supplies.....	3,900
Interest expense.....	800	Supplies expense.....	4,500
		Unearned service revenue.....	2,800

Requirements

1. All adjustments have been journalized and posted, but the closing entries have not yet been made. Journalize Bay View's closing entries at June 30, 20X6.
2. Set up a T-account for Retained Earnings and post to that account. Then compute Bay View's net income for the year ended June 30, 20X6. What is the ending balance of Retained Earnings?
3. Did Retained Earnings increase or decrease during the year? What caused the increase or the decrease?

Group B

P3-68B. (Learning Objective 1: Linking accrual accounting and cash flows) Garage Corporation earned revenues of €38 million during 20X6 and ended the year with net income of €4 million. During 20X6, Garage collected cash of €27 million from customers and paid cash for all of its expenses plus an additional €1 million on account for amounts payable at December 31, 20X5. Answer the following questions about Garage's operating results, financial position, and cash flows during 20X6.

L0 1

Requirements

1. How much were Garage's total expenses? Show your analysis.
2. Identify all the items that Garage will report on its 20X6 Income Statement. Show each amount.
3. Garage began 20X6 with receivables of €9 million. All sales are on account. What was Garage's receivables balance at the end of 20X6? Identify the appropriate financial statement and show how Garage will report its ending receivables balance in its 20X6 annual report.
4. Garage began 20X6 owing accounts payable of €10 million. All expenses are incurred on account. During 20X6, Garage paid €28 million on account. How much in accounts payable did Garage owe at the end of 20X6? Identify the appropriate financial statement and show how Garage will report accounts payable in its 20X6 annual report.

P3-69B. (Learning Objective 1: Comparing cash basis and accrual basis) Queen Consulting had the following selected transactions in August:

L0 1

Aug. 1	Prepaid insurance for August through December, \$500.
4	Purchased software for cash, \$800.
5	Performed services and received cash, \$600.
8	Paid advertising expense, \$700.
11	Performed service on account, \$3,200.
19	Purchased computer on account, \$1,100.
24	Collected for August 11 service.
26	Paid account payable from August 19.
29	Paid salary expense, \$500.
31	Adjusted for August insurance expense (see August 1).
31	Earned revenue of \$300 that was collected in advance back in July.

Requirements

1. Show how each transaction would be handled using the cash basis and the accrual basis.
2. Compute August income (loss) before tax under each accounting method.
3. Indicate which measure of net income or net loss is preferable. Use the transactions on August 11 and August 24 to explain.

P3-70B. (Learning Objective 3: Making accounting adjustments) Journalize the adjusting entry needed on December 31, the end of the current accounting period, for each of the following independent cases affecting Sawyer Corp. Include an explanation for each entry.

L0 3
■ writing assignment

- a. Details of Prepaid Insurance are shown in the account:

Prepaid Insurance			
Jan. 1	Bal.	500	
Mar. 31		3,800	

Sawyer prepays insurance on March 31 each year. At December 31, €700 is still prepaid.

- b. Sawyer pays employees each Friday. The amount of the weekly payroll is €5,400 for a five-day work week. The current accounting period ends on Wednesday.
- c. Sawyer has a note receivable. During the current year, Sawyer has earned accrued interest revenue of €800 that it will collect next year.
- d. The beginning balance of supplies was €2,900. During the year, Sawyer purchased supplies costing €6,200, and at December 31 supplies on hand total €2,300.
- e. Sawyer is providing services for Orca Investments, and the owner of Orca paid Sawyer €12,500 as the annual service fee. Sawyer recorded this amount as Unearned Service Revenue. Sawyer estimates that it has earned 60% of the total fee during the current year.
- f. Depreciation for the current year includes office furniture, €3,500, and equipment, €5,400. Make a combined entry.

L0 3 4

P3-71B. (*Learning Objectives 3, 4: Preparing an adjusted trial balance and the financial statements*) Consider the unadjusted trial balance of Glasgow, Inc., at August 31, 20X6, and the related month-end adjustment data.

A1							
	A	B	C	D	E	F	G
	Glasgow, Inc.						
	Trial Balance Worksheet						
	August 31, 20X6						
1							
2		Trial Balance	Adjustments	Adjusted Trial Balance			
3	Account	Debit	Credit	Debit	Credit	Debit	Credit
4	Cash	9,300					
5	Accounts receivable	1,600					
6	Prepaid rent	2,400					
7	Supplies	2,200					
8	Furniture	81,000					
9	Accumulated depreciation		4,000				
10	Accounts payable		3,500				
11	Salary payable						
12	Share capital		15,200				
13	Retained earnings		71,000				
14	Dividends	3,800					
15	Service revenue		10,400				
16	Salary expense	3,200					
17	Rent expense						
18	Utilities expense	600					
19	Depreciation expense						
20	Supplies expense						
21	Total	104,100	104,100				
22							

Adjustment data at August 31, 20X6, include the following:

- Accrued advertising revenue at August 31, €2,200
- Prepaid rent expired during the month. The unadjusted prepaid balance of €2,400 relates to the period August 20X6 through October 20X6.
- Supplies used during August, €1,900
- Depreciation on furniture for the month. The furniture's expected useful life is five years.
- Accrued salary expense at August 31 for Monday, Tuesday, and Wednesday. The five-day weekly payroll is €5,500 and will be paid on Friday.

Requirements

- Using Exhibit 3-9 as an example, prepare the adjusted trial balance of Glasgow, Inc., at August 31, 20X6. Key each adjusting entry by letter.
- Prepare the monthly Income Statement, the statement of changes in equity, and the classified Balance Sheet. Draw arrows linking the three statements.

P3-72B. (*Learning Objective 3: Analyzing and recording adjustments*) Greenfield Apartments, Inc.'s unadjusted and adjusted trial balances at April 30, 20X6, follow:

L0 3

A1					
	A	B	C	D	E
1	Greenfield Apartments, Inc. Adjusted Trial Balance	April 30, 20X6			
2		Trial Balance		Adjusted Trial Balance	
3	Account	Debit	Credit	Debit	Credit
4	Cash	€ 7,900		€ 7,900	
5	Accounts receivable	6,000		7,850	
6	Interest receivable			750	
7	Note receivable	5,000		5,000	
8	Supplies	1,500		800	
9	Prepaid insurance	2,500		600	
10	Building	67,000		67,000	
11	Accumulated depreciation		€ 8,800		€ 10,300
12	Accounts payable		6,500		6,500
13	Wages payable				1,100
14	Unearned rental revenue		1,500		1,200
15	Share capital		17,000		17,000
16	Retained earnings		43,300		43,300
17	Dividends	3,200		3,200	
18	Rental revenue		18,300		20,450
19	Interest revenue		200		950
20	Depreciation expense			1,500	
21	Supplies expense			700	
22	Utilities expense	300		300	
23	Wage expense	1,900		3,000	
24	Property tax expense	300		300	
25	Insurance expense			1,900	
26	Total	€ 95,600	€ 95,600	€ 100,800	€ 100,800
27					

Requirements

- Make the adjusting entries that account for the differences between the two trial balances.
- Compute Greenfield's total assets, total liabilities, total equity, and net income.

LO 4

■ spreadsheet

P3-73B. (*Learning Objectives 4: Preparing the financial statements*) The adjusted trial balance of Murray Corporation at December 31, 20X6, follows:

A1			
	A	B	C
	Murray Corporation Adjusted Trial Balance	December 31, 20X6	
1			
2	Account	Debit	Credit
3	Cash	\$ 1,700	
4	Accounts receivable	8,900	
5	Supplies	2,300	
6	Prepaid rent	1,200	
7	Equipment	38,700	
8	Accumulated depreciation		\$ 4,500
9	Accounts payable		3,900
10	Interest payable		500
11	Unearned service revenue		700
12	Income tax payable		2,600
13	Note payable		18,800
14	Share capital		8,000
15	Retained earnings		4,500
16	Dividends	25,000	
17	Service revenue		103,800
18	Depreciation expense	1,200	
19	Salary expense	40,600	
20	Rent expense	10,300	
21	Interest expense	3,300	
22	Insurance expense	3,700	
23	Supplies expense	2,800	
24	Income tax expense	7,600	
25	Total	\$ 147,300	\$ 147,300
26			

Requirements

1. Prepare Murray's 20X6 Income Statement, statement of changes in equity, and Balance Sheet. List expenses (except for income tax) in decreasing order on the Income Statement and show total liabilities on the Balance Sheet.

LO 5

P3-74B. (*Learning Objective 5: Making closing entries; evaluating retained earnings*) The accounts of Silent Stream Service, Inc., at March 31, 20X6, are listed in alphabetical order.

Accounts payable	\$ 14,800	Note payable, long term...	\$ 5,900
Accounts receivable.....	16,900	Other assets.....	14,000
Accumulated depreciation— equipment	7,200	Prepaid expenses	5,800
Advertising expense.....	11,200	Retained earnings, March 31, 20X5	22,500
Cash.....	7,200	Salary expense.....	18,200
Current portion of note payable.....	500	Salary payable	2,600
Depreciation expense	2,200	Service revenue.....	95,600
Dividends	30,000	Share capital.....	6,200
Equipment.....	44,000	Supplies.....	3,300
Interest expense.....	900	Supplies expense.....	4,500
		Unearned service revenue ...	2,900

Requirements

1. All adjustments have been journalized and posted, but the closing entries have not yet been made. Journalize Silent Stream's closing entries at March 31, 20X6.
2. Set up a T-account for Retained Earnings and post to that account. Then compute Silent Stream's net income for 20X6. What is the ending balance of Retained Earnings?
3. Did Retained Earnings increase or decrease during the year? What caused the increase or decrease?

APPLY YOUR KNOWLEDGE

Decision Cases

Case 1. (*Learning Objective 3: Adjusting and correcting the accounts*) The unadjusted trial balance of Good Times, Inc., at January 31, 20X6, does not balance. In addition, the trial balance needs to be adjusted before the financial statements at January 31, 20X6, can be prepared.

L0 3

Cash.....	8,200
Accounts receivable.....	4,300
Supplies.....	900
Prepaid rent.....	1,200
Land.....	43,000
Accounts payable	12,100
Salary payable	0
Unearned service revenue	500
Note payable, due in three years	23,400
Share capital.....	5,000
Retained earnings.....	9,500
Service revenue.....	9,900
Salary expense.....	3,600
Rent expense	0
Advertising expense.....	800
Supplies expense.....	0

Requirements

1. How much *out of balance* is the trial balance? Notes Payable (the only error) is understated.
2. Good Times needs to make the following adjustments at January 31:
 - a. Supplies of \$600 were used during January.
 - b. The balance of Prepaid rent was paid on January 1 and covers the whole year 20X6. No adjustment was made on January 31.
 - c. At January 31, Good Times owed employees \$1,200.
 - d. Unearned service revenue of \$300 was earned during January.

Prepare a corrected, adjusted trial balance. Give Notes Payable its correct balance.

Case 2. (*Learning Objective 4: Preparing financial statements; deciding to continue or shut down the business*) On October 1, Lou Clark opened Tiger Restaurant, Inc. Clark is now at a crossroads. The October financial statements paint a glowing picture of the business, and Clark has asked you whether he should expand the business. To expand the business, Clark wants to be earning net income of \$10,000 per month and have total assets of \$50,000. Clark believes he is meeting both goals.

To start the business, Clark invested \$25,000, not the \$15,500 amount reported as “Share capital” on the Balance Sheet. The business issued \$25,000 of shares to Clark. The bookkeeper plugged the \$15,500 “Share capital” amount into the Balance Sheet to make it balance. The

L0 4

bookkeeper made some other errors too. Clark shows you the following financial statements that the bookkeeper prepared:

A1			
	A	B	C
1	Tiger Restaurant, Inc.		Month Ended
2	Income Statement		October 31, 20X7
3	Revenues:		
4	Investments by owner	\$ 25,000	
5	Unearned banquet sales revenue	5,000	
6			\$ 30,000
7	Expenses:		
8	Wages expense	\$ 6,000	
9	Rent expense	4,500	
10	Dividends	3,000	
11	Depreciation expense-fixtures	1,000	
12			14,500
13	Net income		\$ 15,500

A1					
	A	B	C	D	E
1	Tiger Restaurant, Inc.				
2	Balance Sheet				
3	October 31, 20X7				
4	Assets		Liabilities		
5	Cash	\$ 8,000	Accounts payable	\$ 9,000	
6	Prepaid insurance	2,000	Sales revenue	33,000	
7	Insurance expense	1,000	Accumulated depreciation—		
8	Food inventory	6,000	fixtures	1,000	
9	Cost of goods sold (expense)	12,500			
10	Fixtures (tables, chairs, etc.)	25,000	Owners' equity		
11	Dishes and silverware	4,000	Share capital	15,500	
12		\$ 58,500		\$ 58,500	

Requirement

1. Prepare corrected financial statements for Tiger Restaurant, Inc.: Income Statement, Statement of Changes in Equity, and Balance Sheet. Then, based on Clark's goals and your corrected statements, recommend to Clark whether he should expand the restaurant.

L0 3 4

Case 3. (Learning Objectives 3, 4: Valuing a business on the basis of its net income)

Stanley Williams has owned and operated SW Advertising, Inc., since its beginning, 10 years ago. Recently, Williams mentioned that he would consider selling the company for the right price.

Assume that you are interested in buying this business. You obtain its most recent monthly trial balance. Revenues and expenses vary little from month to month, and June is a typical month. Your investigation reveals that the trial balance does not include the effects of monthly revenues of \$5,000 and expenses totaling \$1,200. If you were to buy SW Advertising, you would hire a manager so you could devote your time to other duties. Assume that your manager would require a monthly salary of \$5,000.

A1			
	A	B	C
	SW Advertising, Inc.		
	Trial Balance		
1			
2	Cash	\$ 12,000	
3	Accounts receivable	7,000	
4	Prepaid expenses	3,200	
5	Property, plant and equipment	125,000	
6	Accumulated depreciation		\$ 81,500
7	Land	155,000	
8	Accounts payable		13,800
9	Salary payable		
10	Unearned advertising revenue		58,700
11	Share capital		60,000
12	Retained earnings		82,000
13	Dividends	9,000	
14	Advertising revenue		20,000
15	Rent expense		
16	Salary expense	4,000	
17	Utilities expense	800	
18	Depreciation expense		
19	Supplies expense		
20	Total	\$ 316,000	\$ 316,000
21			

Requirements

1. Assume that the most you would pay for the business is 16 times the amount of monthly net income *you could expect to earn* from it. Compute this possible price.
2. Williams states that the least he will take for selling the business is two times its shareholders' equity on June 30. Compute this amount.
3. Under these conditions, how much should you offer Williams? Give your reason. (Challenge)

Ethical Issues

Issue 1. Cross Timbers Energy Co. is in its third year of operations, and the company has grown to be the major producer of compressed natural gas (CNG) in the region. To expand the business, Cross Timbers borrowed \$15 million from Bank of Fort Worth. As a condition for making this loan, the bank required that Cross Timbers maintain a net profit of at least \$5 million per year.

Business recently has been worse than expected. Lower revenue and higher expenses have brought net profit down to \$4.5 million at December 27. Lane Collins, the general manager, is considering what would happen when the bank receives reports of its lower than required profit. Collins is considering the \$3 million deferred income that's sitting on his Balance Sheet. It represents cash collected ahead of delivery of CNG next month. He told himself, "This money is as good as earned, I have the money in the bank account, I can deliver the goods anytime, so why did the accountant insist that they must be shown as a liability? I think I will just say I have earned \$1 million by the end of the year and everyone will be happy."



Requirements

1. Journalize the revenue transaction, and indicate how recording this revenue in December would affect the company's net profit.
2. Analyze this transaction according to the decision framework for making ethical judgments (in Chapter 1):
 - a. What is the issue?
 - b. Who are the stakeholders and what are the alternatives? Weigh them from the standpoint of economic, legal, and ethical implications.
 - c. What decision would you make?
3. Propose for Cross Timbers a course of action that is ethical.

Issue 2. The net income of Solas Photography Company decreased sharply during 20X6. Lisa Almond, owner of the company, anticipates the need for a bank loan in 20X7. Late in 20X6, Almond instructed Brad Lail, the accountant and a personal friend of yours, to record a \$10,000 sale of portraits to the Almond family, even though the photos will not be shot until January 20X7. Almond also told Lail *not* to make the following December 31, 20X6, adjusting entries:

Salaries owed to employees \$10,000
 Prepaid insurance that has expired 1,000

Requirements

1. Compute the overall effect of these transactions on the company's reported income for 20X6. Is reported net income overstated or understated?
2. Why did Almond take these actions? Are they ethical? Give your reason, identifying the parties helped and the parties harmed by Almond's action. Consult the Decision Framework for Making Ethical Judgments in Chapter 1. Which factor (economic, legal, or ethical) seems to be taking precedence? Identify the stakeholders and the potential consequences to each.
3. As a personal friend of Brad's, what advice would you give him?

Focus on Financials: | Nestlé



This case spans all 12 chapters and is based on the consolidated financial statements of Nestlé. As you work with Nestlé throughout this course, you will develop the confidence and ability to use the financial statements of other companies as well.

Refer to Nestlé's financial statements in Appendix A. Alternatively, you may obtain the full annual report from Nestlé's website at www.nestle.com/investors. You may find the information overwhelming for now, but try to spot the key principles that we have discussed in this chapter. It will get progressively easier as you gain familiarity with the elements of the financial statements.

Nestlé—like all other businesses—adjusts accounts prior to year-end to get correct amounts for the financial statements. Examine Nestlé's Balance Sheets in Appendix A, and pay particular attention to Note 11 on provisions.

Requirements

1. Open a T-account for "provisions." Insert Nestlé's balance of CHF 3,165 million at December 31, 2015. What four items does this total consist of? (Hint: for further details refer to the notes to the financial statements.)
2. For simplicity's sake, assume that there is only one provisions account, provisions for warranties, with an opening balance of CHF 3,165 million at December 31, 2015. Journalize the following transactions for the year ended December 31, 2016. Key entries by letter, and show amounts in millions.
 - a. Made warranty payments of CHF 464 million to consumers.
 - b. Charged CHF 895 million to the Income Statement as its best estimate of future warranty needs.
 - c. Misc. adjustments to the provisions account to the tune of a CHF 336 million debit due to exchange movements and reversal of previous over-estimation (credit retained earnings).
3. Post these entries to "provisions" and show that the ending balance of the account agrees with the corresponding amount reported in Nestlé's December 31, 2016, Balance Sheets.
4. Examine Note 8—Property, plant and equipment. Notice that accumulated depreciation and impairment stood at CHF 26,323 million at December 31, 2015, and at CHF 28,376 million at December 31, 2016. Assume depreciation and impairment expense for 2016 was CHF 2,795 million in total. Explain what must have happened to account for the remainder of the change in the accumulated depreciation and impairment account during 2016.

Group Project

Mark Davis formed a lawn service company as a summer job. To start the business on May 1, he deposited \$2,000 in a new bank account in the name of the corporation. The \$2,000 consisted of a \$1,600 loan from his father and \$400 of his own money. The corporation issued 200 shares of share capital to Davis.

Davis rented lawn equipment, purchased supplies, and hired high school students to mow and trim his customers' lawns. At the end of each month, Davis mailed bills to his customers. On August 31, Davis was ready to dissolve the business and return to Rutgers University for the fall semester. Because he had been so busy, he had kept few records other than his checkbook and a list of amounts owed by customers.

At August 31, Davis' checkbook shows a balance of \$2,040, and his customers still owe him \$600. During the summer, he collected \$5,600 from customers. His checkbook lists payments for supplies totaling \$400, and he still has gasoline, weedeater cord, and other supplies that cost a total of \$50. He paid his employees wages of \$1,900, and he still owes them \$200 for the final week of the summer.

Davis rented some equipment from Ludwig Tool Company. On May 1, he signed a six-month lease on mowers and paid \$600 for the full lease period. Ludwig will refund the unused portion of the prepayment if the equipment is in good shape. To get the refund, Davis has kept the mowers in excellent condition. In fact, he had to pay \$300 to repair a mower that ran over a hidden tree stump.

To transport employees and equipment to jobs, Davis used a trailer that he bought for \$300. He figures that the summer's work used up one-third of the trailer's service potential. The business checkbook lists an expenditure of \$460 for dividends paid to Davis during the summer. Also, Davis paid his father back during the summer.

Requirements

1. Prepare the Income Statement of Davis Lawn Service, Inc., for the four months May through August. The business is not subject to income tax.
2. Prepare the classified Balance Sheet of Davis Lawn Service, Inc., at August 31.

Quick Check Answers

1. <i>d</i>	6. <i>d</i>	11. <i>b</i>
2. <i>b</i>	7. <i>b</i>	12. <i>b</i>
3. <i>c</i>	8. <i>c</i>	13. <i>a</i>
4. <i>b</i>	9. <i>d</i>	
5. <i>b</i>	10. <i>a</i>	

MyLab Accounting

For online homework, exercises, and problems that provide you with immediate feedback, please visit www.myaccountinglab.com.

Demo Doc

Preparation of Adjusting Entries, Closing Entries, and Financial Statements

To make sure you understand this material, work through the following demonstration “Demo Doc” with detailed comments to help you see the concept within the framework of a worked-through problem.

Learning Objectives 2–5

Cloud Break Consulting, Inc., has the following information at June 30, 20X6:

A1			
	A	B	C
	Cloud Break Consulting, Inc.		
	Unadjusted Trial Balance		
	June 30, 20X6		
	Account Title	Debit	Credit
1			
2			
3	Cash	\$ 131,000	
4	Accounts receivable	104,000	
5	Supplies	4,000	
6	Prepaid rent	27,000	
7	Land	45,000	
8	Building	300,000	
9	Accumulated depreciation—building		\$ 155,000
10	Accounts payable		159,000
11	Unearned service revenue		40,000
12	Share capital		50,000
13	Retained earnings		52,000
14	Dividends	7,000	
15	Service revenue		450,000
16	Salary expense	255,000	
17	Rent expense	25,000	
18	Miscellaneous expense	8,000	
19	Total	\$ 906,000	\$ 906,000
20			

June 30 is Cloud Break's fiscal year-end; accordingly, it must make adjusting entries for the following items:

- a. Supplies on hand at year-end, \$1,000.
- b. Nine months of rent totaling \$27,000 were paid in advance on April 1, 20X6. Cloud Break has recorded no rent expense yet.
- c. Depreciation expense has not been recorded on the building for the 20X6 fiscal year. The building has a useful life of 25 years.
- d. Employees work Monday through Friday. The weekly payroll is \$5,000 and is paid every Friday. June 30, 20X6, falls on a Thursday.
- e. Service revenue of \$15,000 must be accrued.
- f. Cloud Break received \$40,000 in advance for consulting services to be provided evenly from January 1, 20X6, through August 31, 20X6. Cloud Break has recorded none of this revenue.

► **Requirements**

1. Open the T-accounts with their unadjusted balances.
2. Journalize Cloud Break's adjusting entries at June 30, 20X6, and post the entries to the T-accounts.
3. Total each T-account in the ledger.
4. Journalize and post Cloud Break's closing entries.
5. Prepare Cloud Break's Income Statement and statement of changes in equity for the year ended June 30, 20X6, and the Balance Sheet at June 30, 20X6. Draw arrows linking the three financial statements.

Demo Doc Solutions

► Requirement 1

Open the T-accounts with their unadjusted balances.

Part 1	Part 2	Part 3	Part 4	Part 5	Demo Doc Complete
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Remember from Chapter 2 that opening a T-account means drawing a blank account that looks like a capital “T” and putting the account title across the top. To help find the accounts later, they are grouped into assets, liabilities, shareholders’ equity, revenues, and expenses (in that order). If the account has a starting balance, it *must* appear on the correct side.

Remember that debits are always on the left side of the T-account and credits are always on the right side. This is true for *every* account.

The correct side to enter each account’s starting balance is the side of *increase* in the account. This is because we expect all accounts to have a *positive* balance (that is, more increases than decreases).

For assets, an increase is a debit, so we would expect all assets (except contra assets such as Accumulated Depreciation) to have a debit balance. For liabilities and shareholders’ equity, an increase is a credit, so we would expect all liabilities and equities (except Dividends) to have a credit balance. By the same reasoning, we expect revenues to have credit balances and expenses and dividends to have debit balances.

The unadjusted balances appearing in the T-accounts are simply the amounts from the starting trial balance.

Assets	=	Liabilities	+	Shareholders’ Equity
Cash Bal. 131,000		Accounts Payable Bal. 159,000		Share Capital Bal. 50,000
Accounts Receivable Bal. 104,000		Unearned Service Revenue Bal. 40,000		Retained Earnings Bal. 52,000
Supplies Bal. 4,000				Dividends Bal. 7,000
Prepaid Rent Bal. 27,000				Revenue Service Revenue Bal. 450,000
Land Bal. 45,000				Expenses Salary Expense Bal. 255,000
Building Bal. 300,000				Rent Expense Bal. 25,000
Accumulated Depreciation—Building Bal. 155,000				Miscellaneous Expense Bal. 8,000

► Requirement 2

Journalize Cloud Break's adjusting entries at June 30, 20X6, and post the entries to the T-accounts.

Part 1	Part 2	Part 3	Part 4	Part 5	Demo Doc Complete
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a. Supplies on hand at year-end, \$1,000.

On June 30, 20X6, the unadjusted balance in the Supplies account was \$4,000. However, a count shows that only \$1,000 of supplies actually remains on hand. The supplies that are no longer there have been used. When assets/benefits are used, an expense is created.

Cloud Break will need to make an adjusting journal entry in order to report the correct amount of supplies on the Balance Sheet.

Looking at the Supplies T-account:

Supplies		
4,000	Used up	X
Bal. 1,000		

The supplies have decreased because they have been used up. The amount of the decrease is X. $X = \$4,000 - \$1,000 = \$3,000$.

\$3,000 of supplies expense must be recorded to show the value of supplies that have been used.

A1					
	A	B	C	D	E
1	(a)	Jun. 30	Supplies Expense (\$4,000 - \$1,000) (Expense ↑; debit)	3,000	
2			Supplies (Asset ↓; credit)		3,000
3			To record supplies expense.		
4					

After posting, Supplies and Supplies Expense hold their correct ending balances:

ASSETS			EXPENSES		
Supplies			Supplies Expense		
4,000	a.	3,000	a.	3,000	
Bal. 1,000			Bal. 3,000		

b. Nine months of rent (totaling \$27,000) were paid in advance on April 1, 20X6. Cloud Break has recorded no rent expense yet.

A prepayment for something, such as for rent or insurance, creates a *future* benefit (an asset) because the business is now entitled to receive the prepaid goods or services. Once those goods or services are received (in this case, once Cloud Break has occupied the building being rented), the benefit expires, and the prepaid cost becomes an expense.

Cloud Break prepaid \$27,000 for nine months of rent on April 1. This means that Cloud Break pays $\$27,000/9 = \$3,000$ a month for rent. At June 30, Prepaid Rent is adjusted for the amount of the asset that has been used up. Because Cloud Break has occupied the building being rented for three months (April, May, and June), three months of the prepayment have been used. The amount of rent used is $3 \times \$3,000 = \$9,000$. Because that portion of the past benefit (asset) has expired, it becomes an expense (in this case, the adjustment transfers \$9,000 from Prepaid Rent to Rent Expense).

This means that Rent Expense must be increased (a debit) and Prepaid Rent (an asset) must be decreased (a credit), with the following journal entry:

A1					
	A	B	C	D	E
1	(b)	Jun. 30	Rent Expense (Expense ↑; debit)	9,000	
2			Prepaid Rent (Asset ↓; credit)		9,000
3			<i>To record rent expense.</i>		
4					

Posting places \$9,000 in each account, as follows:

ASSETS			EXPENSES		
Prepaid Rent			Rent Expense		
	27,000	b. 9,000		25,000	
Bal.	18,000		b. 9,000		
			Bal.	34,000	

c. Depreciation expense has not been recorded on the building for the 20X6 fiscal year. The building has a useful life of 25 years.

Depreciation expense per year is calculated as:

$$\text{Depreciation expense per year} = \frac{\text{Original cost of asset}}{\text{Useful life of asset (in years)}}$$

The cost principle compels us to keep the original cost of a PPE in that asset account. Because there is \$300,000 in the Building account, we know that this is the original cost of the building. We are told in the question that the building's useful life is 25 years.

$$\text{Depreciation expense per year} = \$300,000/25 \text{ years} = \$12,000 \text{ per year}$$

We will record depreciation of \$12,000 in an adjusting journal entry. The journal entry for depreciation expense is *always* the same. Only the dollar amount changes. There is always an increase to Depreciation Expense (a debit) and an increase to the contra asset account of Accumulated Depreciation (a credit).

A1					
	A	B	C	D	E
1	(c)	Jun. 30	Depreciation Expense—Building (Expense ↑; debit)	12,000	
2			Accumulated Depreciation—Building		
3			(Contra Asset ↑; credit)		12,000
4			<i>To record depreciation on building.</i>		
5					

ASSETS				EXPENSES			
ASSET		CONTRA ASSET					
Building		Accumulated Depreciation— Building		Depreciation Expense— Building			
300,000			155,000	c.	12,000		
			c. 12,000				
Bal. 300,000			Bal. 167,000	Bal.	12,000		

The carrying amount of the building is its original cost (the amount in the Building T-account) minus the accumulated depreciation on the building.

Carrying amount of PPE:	
Building.....	\$ 300,000
Less: Accumulated depreciation	(167,000)
Carrying amount of the building	<u>\$ 133,000</u>

d. Employees work Monday through Friday. The weekly payroll is \$5,000 and is paid every Friday. June 30, 20X6, falls on a Thursday.

Salary is an accrued expense. That is, it's a liability that comes from an *expense* that hasn't been paid yet. Most employers pay their employees *after* the work has been done, so the work is a past benefit to the employer. This expense (Salary Expense, in this case) grows until payday.

Cloud Break's employees are paid \$5,000 for five days of work. That means they earn $\$5,000/5 = \$1,000$ per day. By the end of the day on Thursday, June 30, they have earned $\$1,000/\text{day} \times 4 \text{ days} = \$4,000$ of salary.

If the salaries have not been paid, then they are *payable* (or in other words, they are *owed*) and must be recorded as some kind of payable account. You might be tempted to use Accounts Payable, but this account is usually reserved for *bills* received. But employees don't bill employers for their paychecks. The appropriate payable account for salaries is Salary Payable.

The accrual of salary expense creates an increase to Salary Expense (a debit) and an increase to the liability Salary Payable (a credit) of \$4,000.

A1					
	A	B	C	D	E
1	(d)	Jun. 30	Salary Expense (Expense ↑; debit)	4,000	
2			Salary Payable (Liability ↑; credit)		4,000
3			To accrue salary expense.		
4					
5					

EXPENSES		LIABILITIES	
Salary Expense		Salary Payable	
d.	4,000	d.	4,000
Bal.	259,000	Bal.	4,000

e. Service revenue of \$15,000 must be accrued.

Accrued revenue is another way of saying “accounts receivable” (or receipt in the future). When *accrued* revenue is recorded, it means that accounts receivable are also recorded (that is, the business gave goods or services to customers, but the business has not yet received the cash). The business is entitled to these receivables because the revenue has been earned.

Service Revenue must be increased by \$15,000 (a credit) and the Accounts Receivable asset must be increased by \$15,000 (a debit).

A1					
	A	B	C	D	E
1	(e)	Jun. 30	Accounts Receivable (Asset ↑; debit)	15,000	
2			Service Revenue (Revenue ↑; credit)		15,000
3			To accrue service revenue.		
4					
5					

ASSETS		REVENUES	
Accounts Receivable		Service Revenue	
	104,000		450,000
e.	15,000	e.	15,000
Bal.	119,000	Bal.	465,000

f. Cloud Break received \$40,000 in advance for consulting services to be provided evenly from January 1, 20X6, through August 31, 20X6. Cloud Break has recorded none of this revenue.

Cloud Break received cash in advance for work to be performed in the future. By accepting the cash, Cloud Break also accepted the obligation to perform that work (or provide a refund). In accounting, an obligation is a liability. We call this liability “unearned revenue” because it *will* be revenue (after the work is performed), but it is not revenue *yet*.

The \$40,000 collected in advance is still in the Unearned Service Revenue account. However, some of the revenue has been earned as of June 30. Six months of the earnings period have passed (January through June), so Cloud Break has earned six months of the revenue.

The entire revenue-earning period is eight months (January through August), so the revenue earned per month is $\$40,000/8 = \$5,000$. The six months of revenue that Cloud Break has earned through the end of June totals \$30,000 ($6 \times \$5,000$).

So Unearned Service Revenue, a liability, must be decreased by \$30,000 (a debit). Because that portion of the revenue is now earned, Service Revenue is increased by \$30,000 (a credit).

A1					
	A	B	C	D	E
1	f	Jun. 30	Unearned Service Revenue (Liability ↓; debit)	30,000	
2			Service Revenue (Revenue ↑; credit)		30,000
3			To record the earning of service revenue that was collected in advance.		
4					
5					

Essentially, the \$30,000 has been shifted from “unearned revenue” to “earned” revenue.

LIABILITIES		REVENUES	
Unearned Service Revenue		Service Revenue	
f.	30,000		450,000
	40,000		e. 15,000
			f. 30,000
	Bal. 10,000		Bal. 495,000

Now we can summarize all of the adjusting journal entries:

A1					
	A	B	C	D	E
	Ref.	Date	Accounts and Explanation	Debit	Credit
1		20X6			
2					
3	a.	Jun 30	Supplies Expense (\$4,000 – \$1,000)	3,000	
4			Supplies		3,000
5			To record supplies expense.		
6					
7	b.	30	Rent Expense	9,000	
8			Prepaid Rent		9,000
9			To record rent expense.		
10					
11	c.	30	Depreciation Expense—Building	12,000	
12			Accumulated Depreciation—Building		12,000
13			To record depreciation on building.		
14					
15	d.	30	Salary Expense	4,000	
16			Salary Payable		4,000
17			To accrue salary expense.		
18					
19	e.	30	Accounts Receivable	15,000	
20			Service Revenue		15,000
21			To accrue service revenue.		
22					
23	f.	30	Unearned Service Revenue	30,000	
24			Service Revenue		30,000
25			To record the earning of service revenue that was		
26			collected in advance.		
27					
28					

► Requirement 3

Total each T-account in the ledger.

Part 1	Part 2	Part 3	Part 4	Part 5	Demo Doc Complete
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After posting all of these entries and totaling all of the T-accounts, we have:

Assets

Cash

Bal. 131,000

Accounts Receivable

104,000

e. 15,000

Bal. 119,000

Supplies

4,000

a. 3,000

Bal. 1,000

Prepaid Rent

27,000

b. 9,000

Bal. 18,000

Land

Bal. 45,000

Building

Bal. 300,000

Accumulated Depreciation—Building

155,000

c. 12,000

Bal. 167,000

=

Liabilities

Accounts Payable

Bal. 159,000

Salary Payable

d. 4,000

Bal. 4,000

Unearned Service Revenue

f. 30,000

Bal. 10,000

+

Shareholders' Equity

Share Capital

Bal. 50,000

Retained Earnings

Bal. 52,000

Dividends

Bal. 7,000

Revenue

Service Revenue

450,000

e. 15,000

f. 30,000

Bal. 495,000

Expenses

Salary Expense

255,000

d. 4,000

Bal. 259,000

Supplies Expense

a. 3,000

Bal. 3,000

Rent Expense

25,000

b. 9,000

Bal. 34,000

Depreciation Expense—Building

c. 12,000

Bal. 12,000

Miscellaneous Expense

Bal. 8,000

► Requirement 4

Journalize and post Cloud Break's closing entries.

Part 1	Part 2	Part 3	Part 4	Part 5	Demo Doc Complete
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We prepare closing entries to (1) clear out or “reset” the revenue, expense, and dividends accounts to a zero balance in order to get them ready for the next period. They must begin the next period empty so that we can evaluate each period’s income separately from all other periods. We also need to (2) update the Retained Earnings account by transferring all revenues, expenses, and dividends into it.

The Retained Earnings balance is calculated each year using the following formula:

Beginning retained earnings	
+ Net income (or – Net loss)	
– Dividends paid	
= Ending retained earnings	

You can see this in the Retained Earnings T-account as well:

Retained Earnings	
Dividends	Beginning retained earnings
	Net income
	Ending retained earnings

This formula is the key to preparing the closing entries. We will use this formula, but we will do it *inside* the Retained Earnings T-account.

From the trial balance given in the problem, we know that beginning Retained Earnings is \$52,000. The first component of the formula is already in the T-account.

The next component is net income, which is *not* yet in the Retained Earnings account. We can place all the components of net income into the Retained Earnings account and come out with the net income number at the bottom. Remember:

$$\text{Revenues} - \text{Expenses} = \text{Net income}$$

This means that we need to get all of the revenues and expenses into the Retained Earnings account.

a. We start with our revenue T-account (service revenue as shown)

Service Revenue	
	Bal. 495,000

In order to clear out or reset all the Income Statement accounts so that they are empty to begin the next year, the first step is to *debit* each revenue account for the amount of its *credit* balance. Service Revenue has a *credit* balance of \$495,000, so to bring that to zero, we need to *debit* Service Revenue for \$495,000.

This means that we have part of our first closing entry:

A1						
	A	B	C	D	E	F
1	1.	Service Revenue	495,000			
2		???		495,000		
3						

What is the credit side of this entry? The reason we started with Service Revenue was to help calculate net income in the Retained Earnings account. So the other side of the entry must go to Retained Earnings:

A1						
	A	B	C	D	E	F
1	1.	Service Revenue	495,000			
2		Retained Earnings		495,000		
3						

- b. The second step is to **credit** each expense account for the amount of its **debit** balance to bring each expense account to zero.

In this case, we have five different expenses:

Salary Expense		Supplies Expense	
Bal.	259,000	Bal.	3,000
Rent Expense		Depreciation Expense—Building	
Bal.	34,000	Bal.	12,000
Miscellaneous Expense			
Bal.	8,000		

The sum of all the expenses will go to the debit side of the Retained Earnings account:

A1						
	A	B	C	D	E	F
1	2.	Retained Earnings	316,000			
2		Salary Expense		259,000		
3		Supplies Expense		3,000		
4		Rent Expense		34,000		
5		Depreciation Expense—Building		12,000		
6		Miscellaneous Expense		8,000		
7						

The last component of the Retained Earnings formula is dividends. There is a Dividends account:

Dividends	
Bal.	7,000

- c. The final step in the closing process is to transfer Dividends to the debit site of the Retained Earnings account.

The Dividends account has a *debit* balance of \$7,000, so to bring that to zero, we need to *credit* Dividends by \$7,000. The balancing debit will go to Retained Earnings:

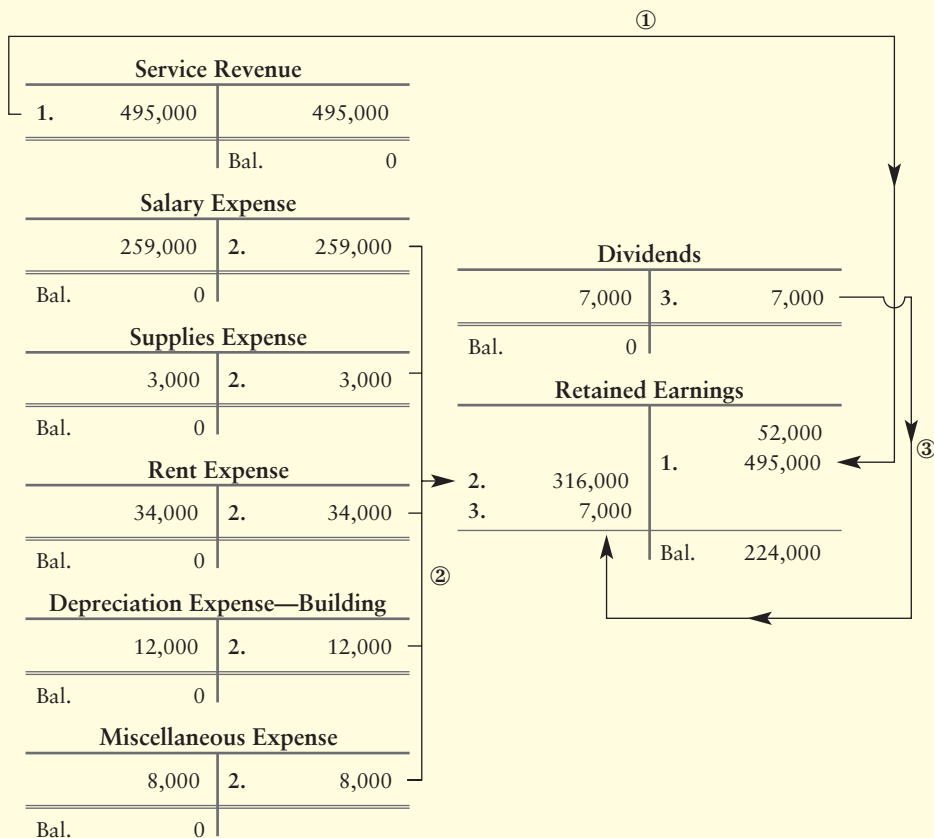
A1						
	A	B	C	D	E	F
1	3.	Retained Earnings	7,000			
2		Dividends		7,000		
3						

This entry subtracts Dividends from Retained Earnings. Retained Earnings now holds the following data:

		Retained Earnings		
Expenses	2.	316,000	52,000	Beginning retained earnings
Dividends	3.	7,000	495,000	Revenue Net income
		Bal.	224,000	Ending retained earnings

The formula to update Retained Earnings has now been re-created inside the Retained Earnings T-account.

The following accounts are included in the closing process:



Notice that each temporary account (the Revenues, the Expenses, and Dividends), now has a zero balance.

► Requirement 5

Prepare Cloud Break's Income Statement and the Statement of Changes in Equity for the year ended June 30, 20X6, and the Balance Sheet at June 30, 20X6. Draw arrows linking the three financial statements.

Part 1	Part 2	Part 3	Part 4	Part 5	Demo Doc Complete
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A1	A	B	C
	Cloud Break Consulting, Inc.		Year Ended
	Income Statement		June 30, 20X6
1			
2	Revenue:		
3	Service revenue		\$ 495,000
4	Expenses:		
5	Salary expense	\$ 259,000	
6	Rent expense	34,000	
7	Depreciation expense—building	12,000	
8	Supplies expense	3,000	
9	Miscellaneous expense	8,000	
10	Total expenses		316,000
11	Net income		\$ 179,000
12			
13			

A1		
	A	B
	Cloud Break Consulting, Inc.	Year Ended
	Statement of Changes in Equity	June 30, 20X6
1		
2	Total equity, June 30, 20X5	\$ 102,000
3	Add: Net income	179,000
4		281,000
5	Less: Dividends	(7,000)
6	Retained earnings, June 30, 20X6	\$ 274,000
7		
8		

A1					
	A	B	C	D	E
	Cloud Break Consulting, Inc.	As at June 30, 20X6			
	Balance Sheet				
1					
2	Assets			Liabilities	
3	Cash		\$ 131,000	Accounts payable	\$ 159,000
4	Accounts receivable		119,000	Salary payable	4,000
5	Supplies		1,000	Unearned service revenue	10,000
6	Prepaid rent		18,000	Total liabilities	173,000
7	Land		45,000		
8	Building	\$ 300,000		Shareholders' Equity	
9	Less: Accumulated			Share capital	50,000
10	depreciation	(167,000)	133,000	Retained earnings	224,000
11				Total Shareholders' equity	274,000
12				Total liabilities and	
13	Total assets		\$ 447,000	Shareholders' equity	\$ 447,000
14					
15					

RELATIONSHIPS AMONG THE FINANCIAL STATEMENTS

The arrows in these statements show how the financial statements relate to each other. Follow the arrow that takes the ending balance of total equity to the Balance Sheet.

1. Net income from the Income Statements is reported as an increase to retained earnings (equity) on the statement of changes in equity. A net loss would be reported as a decrease to retained earnings (equity). Any dividends paid will also reduce retained earnings (equity).
2. The new total equity (and Ending Retained Earnings) from the statement of changes in equity is transferred to the Balance Sheet.

Part 1

Part 2

Part 3

Part 4

Part 5

**Demo Doc
Complete**